Decory Edwards*

2026-02-23

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2 Literature Review

2.1 Trust

There are three strands of the trust literature of interest to this paper. First, this paper draws from the literature regarding the detereminants of trust. An example of this is Alesina and Ferrara 2000. Key takeaway is that the standard demographic control variables (age, race, education, gender) as well as living in a community with much heterogeneity in terms of either race or income.

This paper also seeks to contribute to the trust literature regarding the empirical relationship between measures of trust and economic performance. A notable example relevant for this paper is Guiso, Sapienza, and Zingales 2008 which finds that trust can lead to greater stock market participation.

A related work Guiso, Sapienza, and Zingales 2004 finds that measures of social capital and trust leads to greater use of financial instruments like checks, as well as poortfolio diversification away from holding cash and towards holding stocks and other assets.

A paper which serves as a key motivation for this work is Butler, Giuliano, and Guiso 2016. They find that the relationship between trust and income is humped shaped; an intermediate level of trust is associated with the maximal level of income.

Causal effects in the trust literature also inform this paper. Alsan and Wanamaker 2018 find that the 1972 public revelation of the Tuskegee Syphilis Study lead to lower trust in black males in medical institutions, ultimately leading to worse health outcomes over a lifetime.

Algan and Cahuc 2010 find that aggregate trust has a large positive causal effect on GDP per capita by showing that a measure of inherited trust by second generation immigrants in the U.S. is strongly correlated with aggregate trust in the origin country (and is persistent across generations).

2.2 Returns

An important work in the literature on empirical estimates of the rate of return is Fagereng et al. 2020 which characterizes the persistent component of returns for indivdiuals in Nowegian population data. This work also provides estimates of the distribution of returns within narrowly defined asset class, as well as for net wealth, which can serve as a useful benchmark for comparison.

Daminato and Pistaferri 2024 also documents the persistent component of returns in the PSID, and then use the data to calibrate an return-earnings process within a life cycle model of consumption-saving behavior.

3 Descriptive statistics

For the statistical analysis in this paper, I use the RAND Longitudinal version of the Household Retirement Survey (HRS) public data. I focus on the years 2002-2022; as this time horizon was filled with many economically relevant events (GFC, Covid), we can be creative regarding how to assess the accuracy of the data measured here. This is useful because, although there are many sources of income data to compare resuults to, there are less counterparts like this for return measures. The variables of interest fall into the categories: i) income, ii) wealth and portfolio composition, iii) returns, iv) trust, v) demographics, and vi) other controls.

3.1 Income

First, I use two measures of income: labor and total. Labor income is a narrow measure only capturing earnings and unemployment income. Total income is a more broad measure including retirement and capital income. First, it is clear that mean incomes are relatively flat over the period.

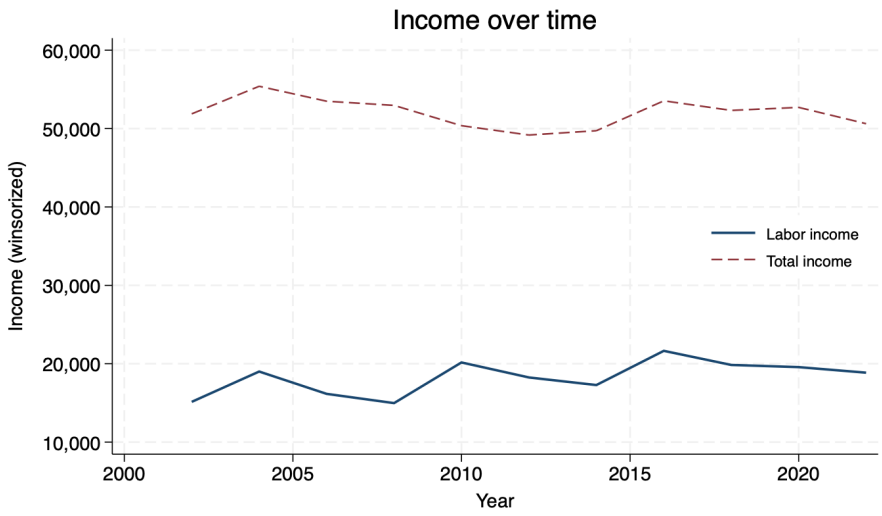

Figure 1: Income over time

Table 1: Mean income by year (real, winsorized)

Year	Labor income (mean $)	Total income (mean $)	Obs
2002	15,136	51,880	18,165
2004	19,003	55,399	20,129
2006	16,159	53,491	18,469
2008	14,976	52,959	17,217
2010	20,165	50,371	22,034
2012	18,250	49,179	20,554
2014	17,278	49,728	18,747
2016	21,644	53,540	20,912
2018	19,848	52,321	17,146
2020	19,568	52,703	15,723
2022	18,860	50,625	15,856

Real USD; winsorized at 1st and 99th percentile.

In particular, I pooled the observations of the survey together to get a sense of the distribution of incomes measured in the survey. This is captured by the table

Table 2: Income (real, winsorized): summary statistics

Variable	Obs	Mean	SD	P50	P95	Min	Max
Labor income (real, winsorized)	204,952	18,330	37,032	0	97,924	0	215,261
Total income (real, winsorized)	204,952	52,004	68,036	29,103	177,498	0	457,548

Real USD, winsorized; summary over person-years.

An important finding in the literature on earnings in the U.S. is that it is generally hump-shaped over the lifecycle. It is a good sign then that the following tables show

Table 3: Mean income by age group (2022)

Age (midpoint)	Labor income (mean $)	Total income (mean $)	Obs
25	0	11,355	2
30	32,109	88,034	8
35	19,995	60,832	28
40	25,892	47,446	95
45	36,852	63,806	233
50	43,923	69,039	1,286
55	38,022	62,014	2,285
60	28,186	55,429	2,924
65	14,749	46,994	2,641
70	6,732	43,629	2,204
75	3,487	43,556	1,401
80	1,464	39,318	1,421
85	528	37,903	871
90	519	39,476	361
95	0	46,538	79
100	0	14,517	16
105	0	11,112	1
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Five-year age bins (e.g., 50 = 50–54). Real USD, winsorized.

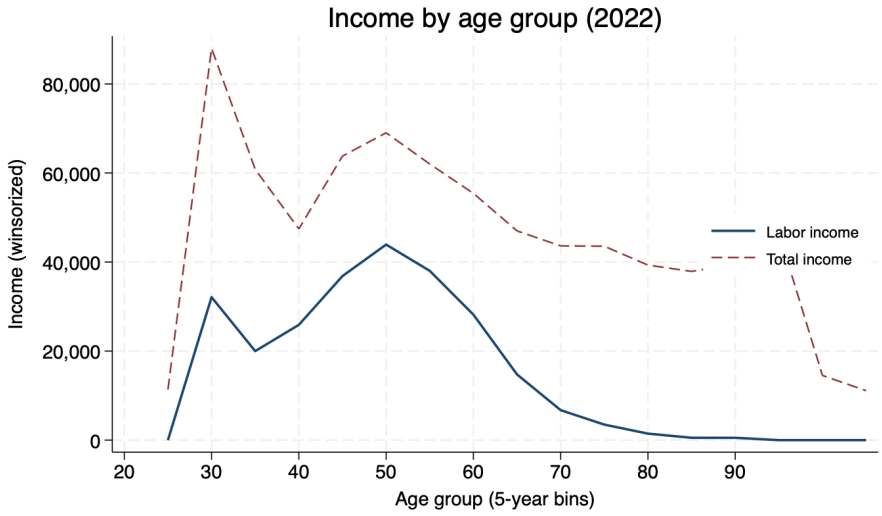

Figure 2: Income by age group (2022)

Another empirical finding in the literature on earnings is that on average individuals with more education earn higher income. The trend capture in the table suggests that the earnings data is in line with one would respect regarding earnings for a representative survey in the U.S.[1]

Table 4: Mean income by education group (real, winsorized)

Education	Labor income (mean $)	Total income (mean $)	Obs
no hs	6,075	23,987	44,654
hs	12,590	39,601	63,826
some college	20,298	53,483	47,390
4yr degree	32,779	82,578	24,820
grad	37,445	104,066	23,091

Real USD, winsorized. no hs = <12y; hs = 12y; some college = 13–15y; 4yr = 16y; grad = 17+y.

[1] Although the HRS oversamples older households, I use the provided the respondent-level weights for this interpretation of the summary statistics of the data.

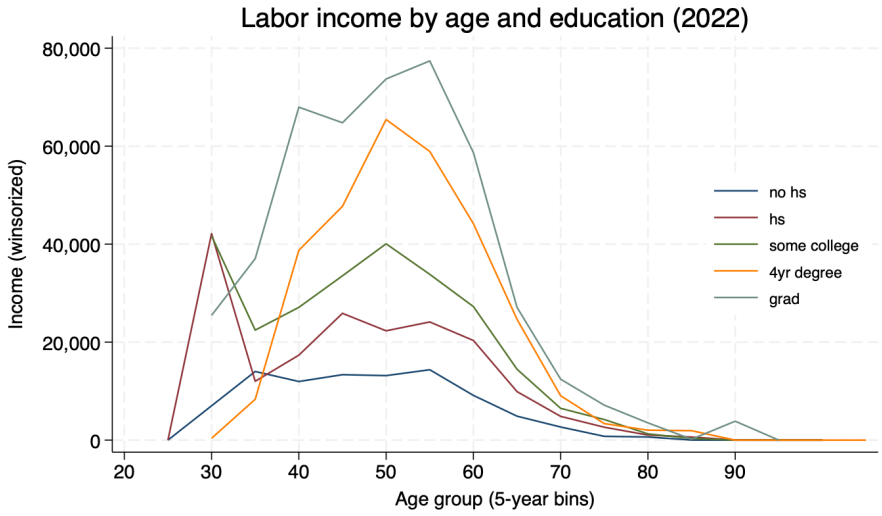

Figure 3: Labor income by age and education (2022)

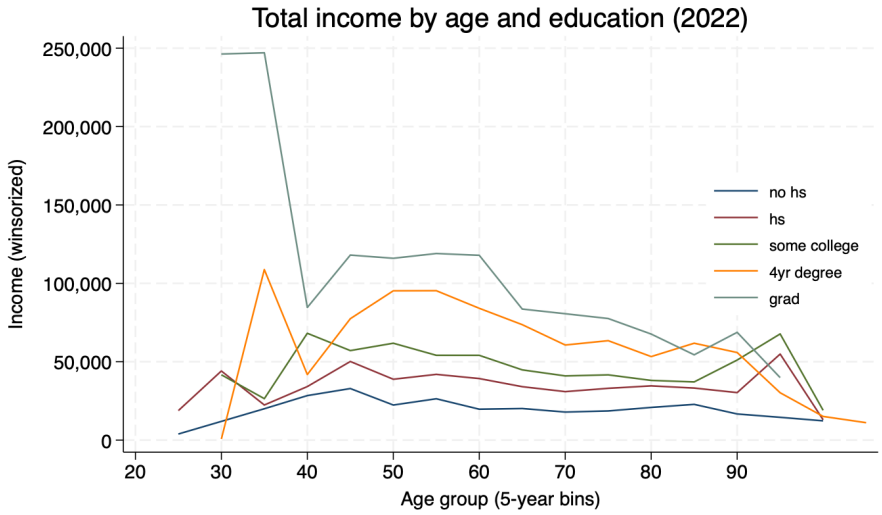

Figure 4: Total income by age and education (2022)

3.2 Wealth and asset class definitions

The HRS asks a number of questions aimed at measuring household wealth in the sample. I collect data on **interest income and dividends**, **capital gains**, **net investment flows**, and **previous period wealth holdings**, all of which are necessary to define the desired measure of household

returns. Since population-level administration data on these objects for individual taxpayers is not available in the U.S., it is important to understand each component needed in the return calculation. This will help to determine whether or not our measured distribution of returns in this dataset is sensible.

3.2.1 Capital gains

The possible asset classes for which capital gains can be computed in the HRS are i) primary residences, ii) secondary residences, iii) other real estate, iv) private business, v) IRA/Keogh (or "retirement"), vi) stocks/mutual funds, vii) bonds, viii) checking/savings/money market, ix) cds/t-bills, x) vehicles, xi) other assets. The possible liabilities are i) mortgages on primary residence, ii) mortgage on secondary residence, iii) other home loans, and iv) total other debt.

Capital gains for each asset class are computed as the estimated change in valuation across survey waves. The general trend is that, these changes in valuation tend to move around alot over the period. That said, capital gains are generally higher at the end of the period than at the start of the period for most asset classes. This can be seen for capital gains to busines ownership, in figure

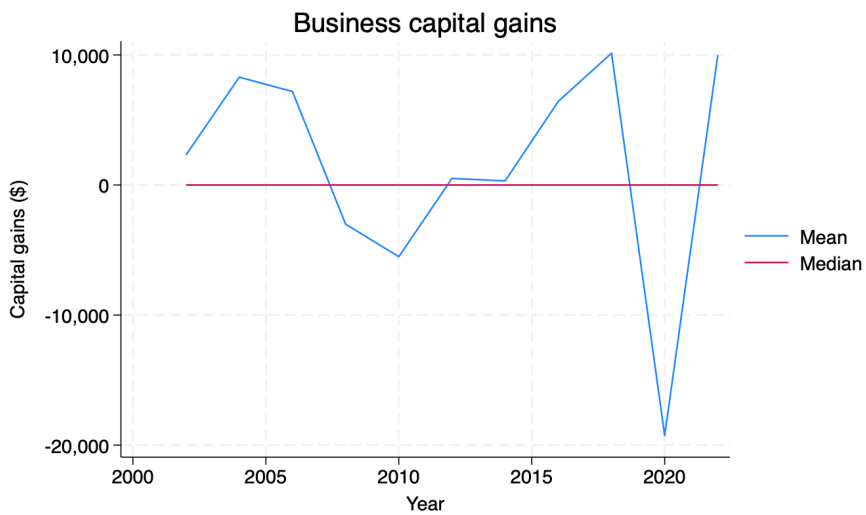

Figure 5: Capital gains: business, by year

The opposite is true for the bonds asset class: capital gains have generally fallen on average over the time period. This can be seen in the figure

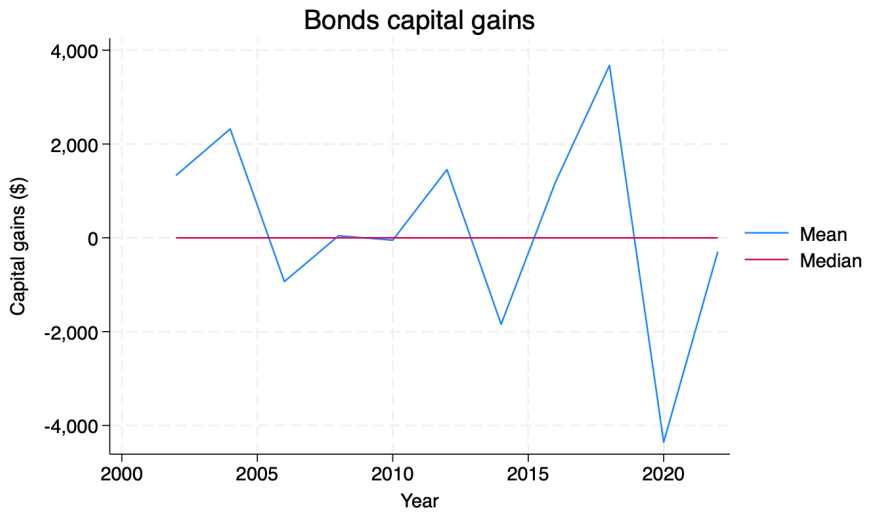

Figure 6: Capital gains: business, by year

Another feature that is apparent by taking a look at capital gains is that, most respondent hold no assets in a particular class. This can be seen by the vertical red line capturing a median of 0 for each wave of the survey. Residential assets generally are the bulk of individual portfolios, and yet the median is still 0 here in almost every wave. This is another sign that the data is sensible so far – large amount of non-participation despite evidence of returns is consistent with the empirically documented equity premium puzzle.

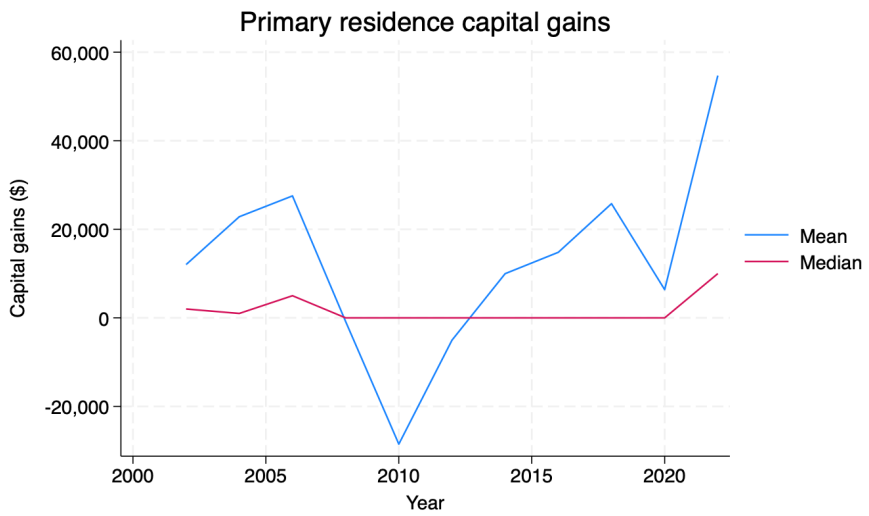

Figure 7: Capital gains: residential, by year

Notably, the dip in capital gain leading up to 2010 for primary residences, secondary residences, and real estate is also a good sign regarding how realibly measured the data is.

Figure 8: Capital gains: residential, by year

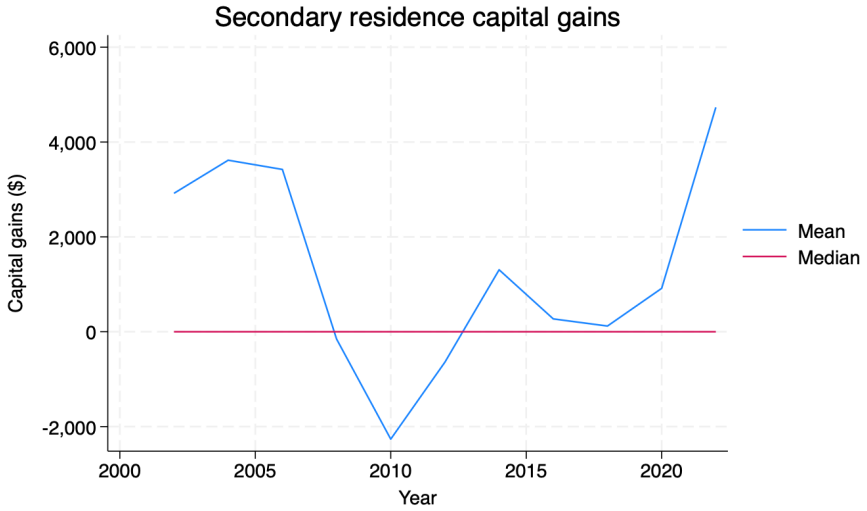

Figure 9: Capital gains: residential, by year

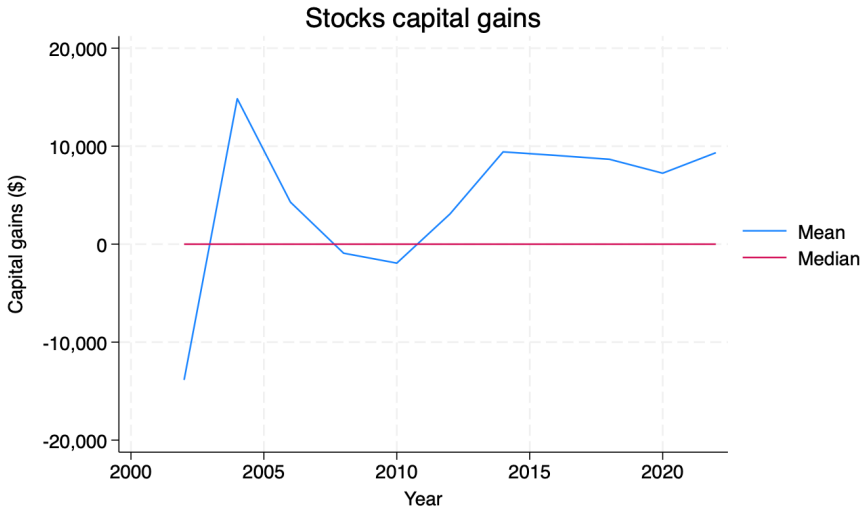

Figure 10: Capital gains: stocks, by year

3.2.2 Interest income and dividends

The HRS RAND longitudinal file has a distinctive way in which interest income and dividends received on these assets is measured. In particular, there is a variable which measures "household capital income received over the last calendar year, including business or farm income self-employment earnings, gross rent, dividend and interest income, trust funds or royalties, and other asset income". This particular feature of the data is the driving factor for the key modeling assumptions of this paper regarding measuring returns: asset classes are defined as narrowly as they can be given observation of interest income and dividends on those assets. For example, although we see capital gains for stocks, business, bonds, and real estate, we do not observe interest income or dividends on these assets individually. Thus, the narrowest asset class defined in this paper will be called "core" and will be comprised of these assets.

The RAND version of the data offers a number of variables measuring pension and annuity income as well as other forms of retirement income. I use this to construct a measure of returns to retirement assets and to define a broader notion of portfolio returns by considering returns to core and retirement assets. A key assumption is that there are no interest income or dividends earned on residential assets[2]. With this assumption, we can consider interest income and dividends on the entire portfolio as the same as interest income and dividends on the portfolio with just core and retirement assets. Thus, to compute a measure of returns to net wealth, I need to add in the remaining available capital gains per asset class (for those that receive no interest income).

[2]Or on any of the asset classes for which capital gains are available for.

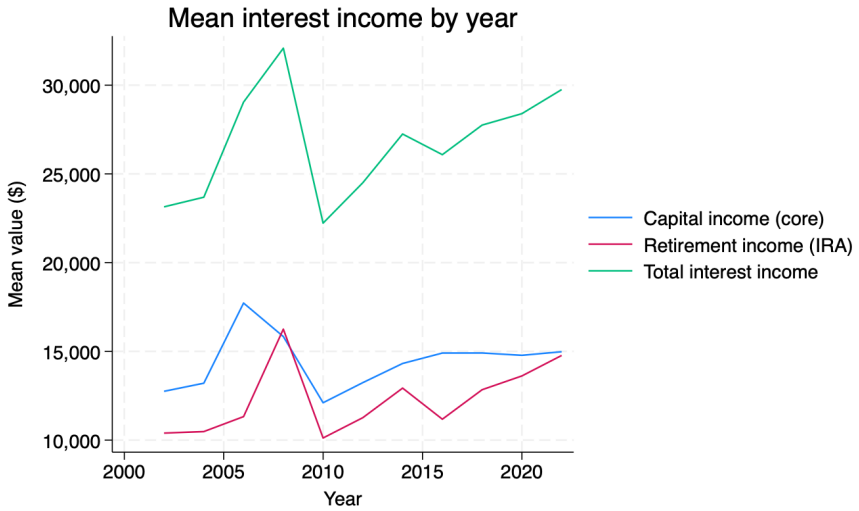

Figure 11: Interest income mean by year

3.2.3 Net investment flows

Net investment flows are vital in computing returns accurately because capital gains and interest income can miss other flows of value into a given asset class. In the HRS dataset, net investment flows are the only variable relevant to the returns calculation that RAND did not clean and process. For this reason, there are substantially less observation for this variable per asset class than the others. To work around this, I do two things. First, I process the net investment flow per asset class myself by using the associated flag variable (asking yes or no if an individual has "bought or sold since the previous wave") for each variable. Second, I assume that if an individual receives interest income on that asset class, but their flow in nonmissing, than the nonmissing flow to that asset class is treated as 0.[3]

With this in mind, I present a figure of net investment flows into the assets available in the dataset. As you can see, the magnitudes for flows into a given class are comparable. I use these flows to construct net investment flows into i) core assets, ii) retirement assets, iii) residential assets, iv) core+residential assets, and v) net wealth.

[3]Non-missing interest income (and capital gains) indicate participation within an asset class.

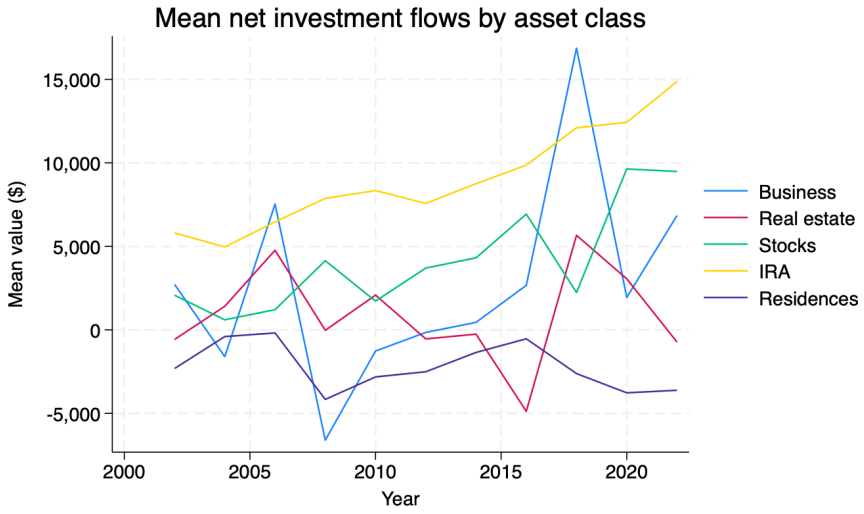

Figure 12: Flows by asset, mean by year

3.2.4 Wealth and inequality

After defining asset classes, I consider mean wealth within these narrowly defined asset classes for each year of the sample. Interestingly, retirement assets seem to perform the worst in terms of average returns. Core assets seem to offer the best performance, and all asset classes see a downward dive leading up to 2010 – historically accurate in the context of investment performance during the global financial crisis.

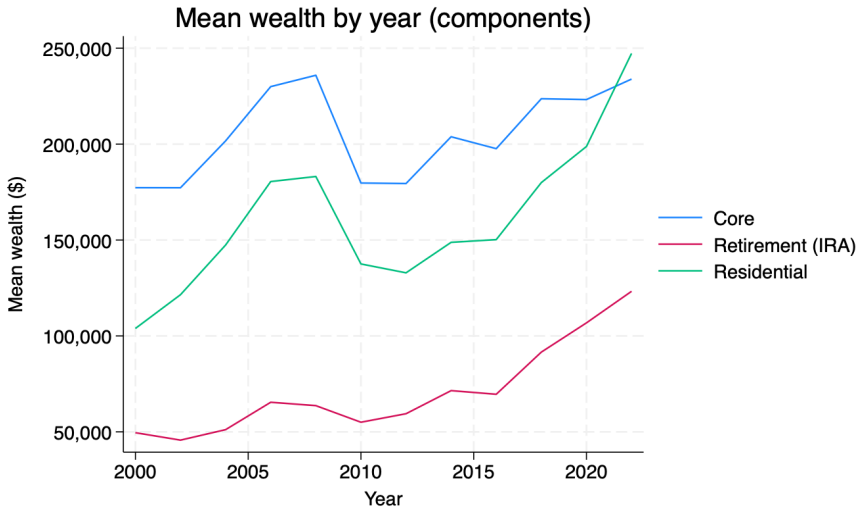

Figure 13: Wealth mean by year (components)

I turn attention to measures of wealth in the sample based on the portfolio definitions: i) net wealth in core assets, ii) net wealth in core and retirement assets, iii) total net wealth.

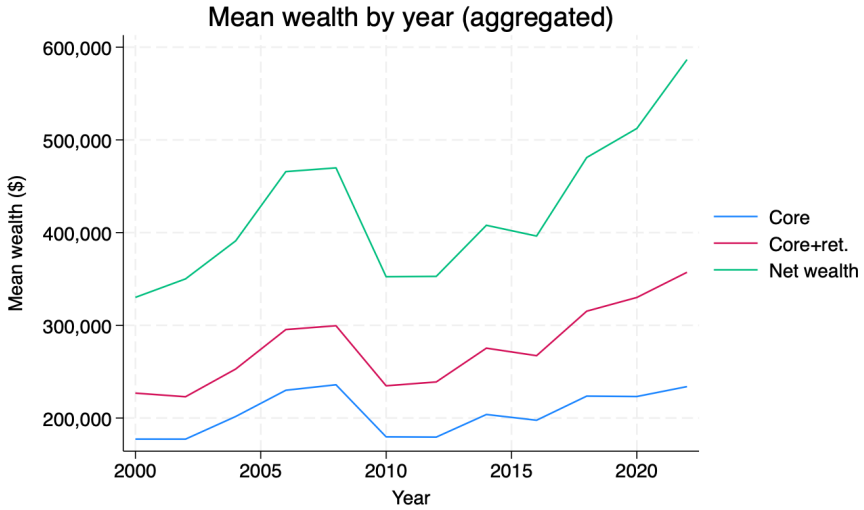

Figure 14: Wealth mean by year (aggregated)

I consider the distribution of these measures of income and wealth across respondents of the survey in the following figures. For income, the measure of labor income is significantly more unequally distributed than the measure of total income in the sample. This is likely an artifact

of the sampling method of the HRS (older likely overrepresented and are towards the end of their working years).

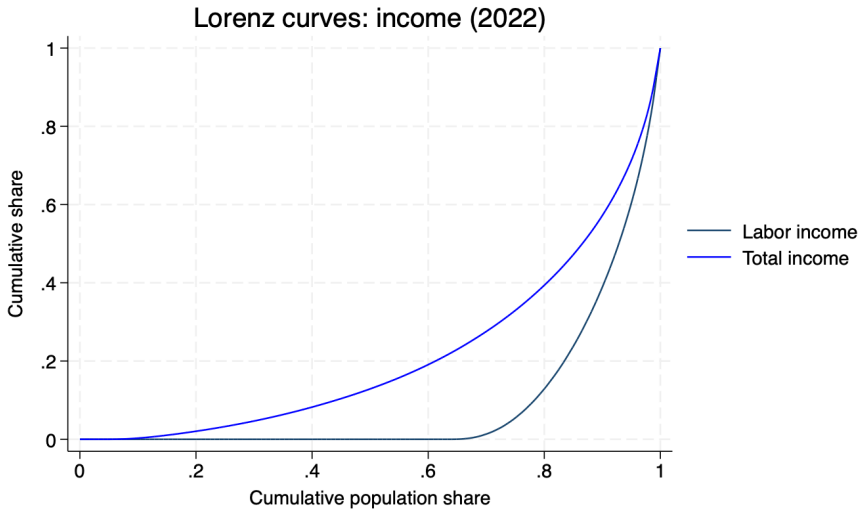

Figure 15: Lorenz: income (2022)

For wealth, holdings in core assets and retirement assets are more unequally distributed than holdings in residential assets. This is in line with common knowledge that home ownership is the most common form of asset ownership in the U.S.

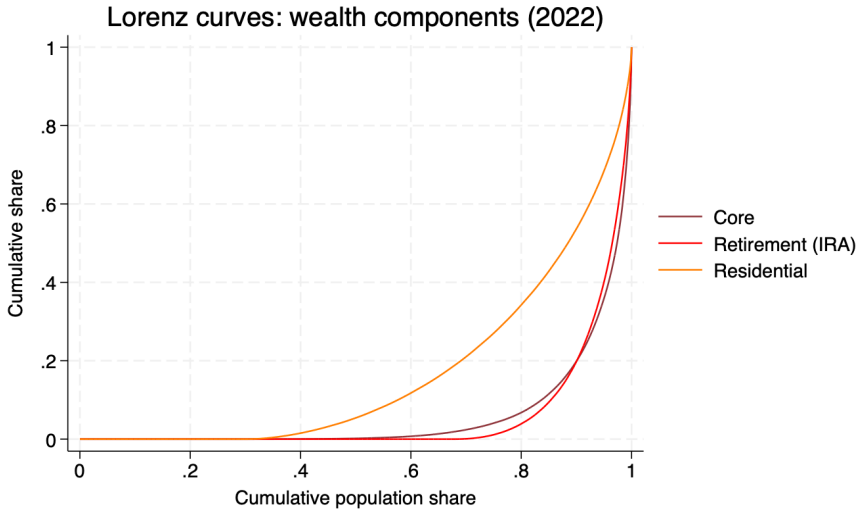

Figure 16: Lorenz: wealth components (2022)

Interestingly, the distribution of net wealth become less unequal when it is extended to incorporate retirement assets on top of core assets. this can be seen in the following figure .

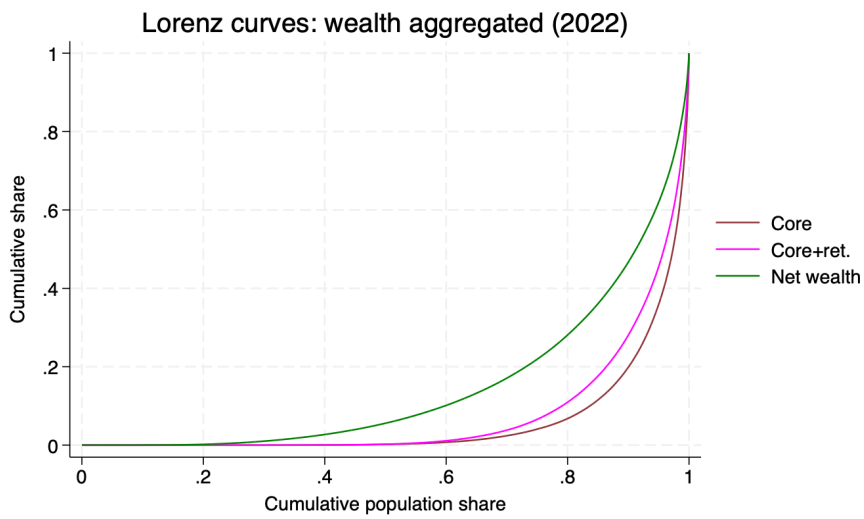

Figure 17: Lorenz: wealth aggregated (2022)

3.2.5 Portfolio composition

To describe the composition of portfolio during the period, I document mean portfolio shares for the relevant asset classes.

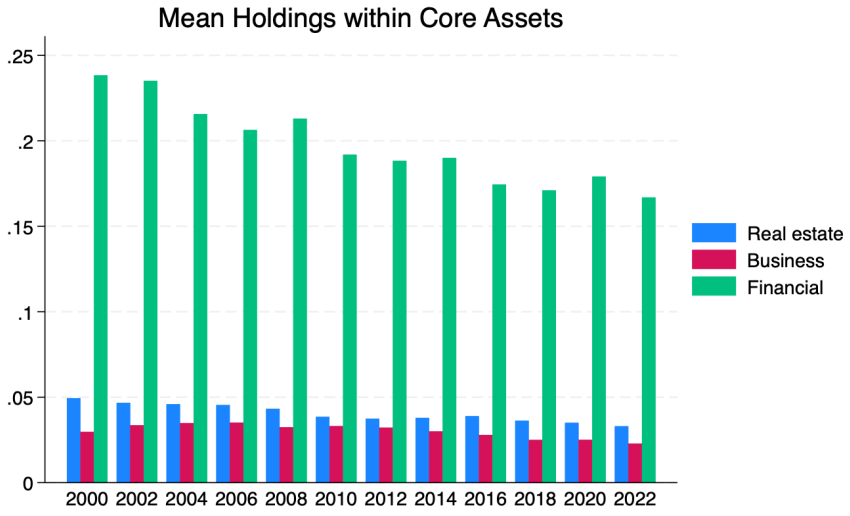

Figure 18: Mean holdings within Core assets, by year

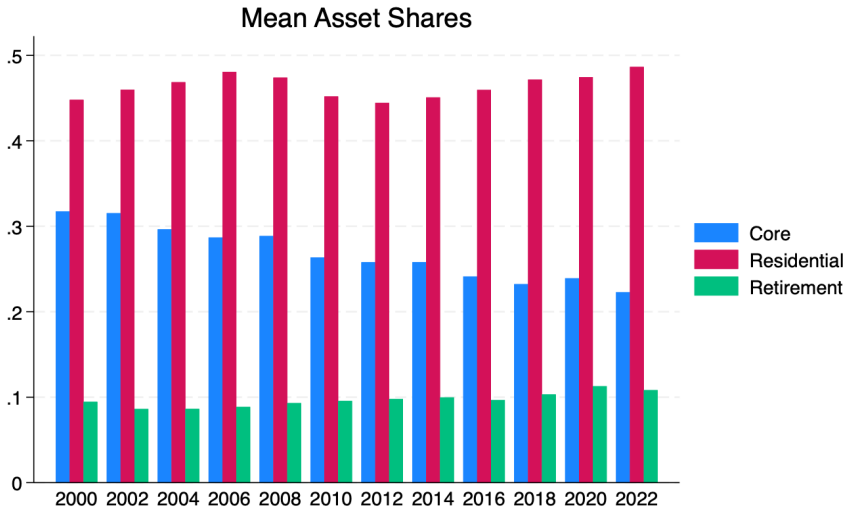

Figure 19: Mean Asset shares, by year

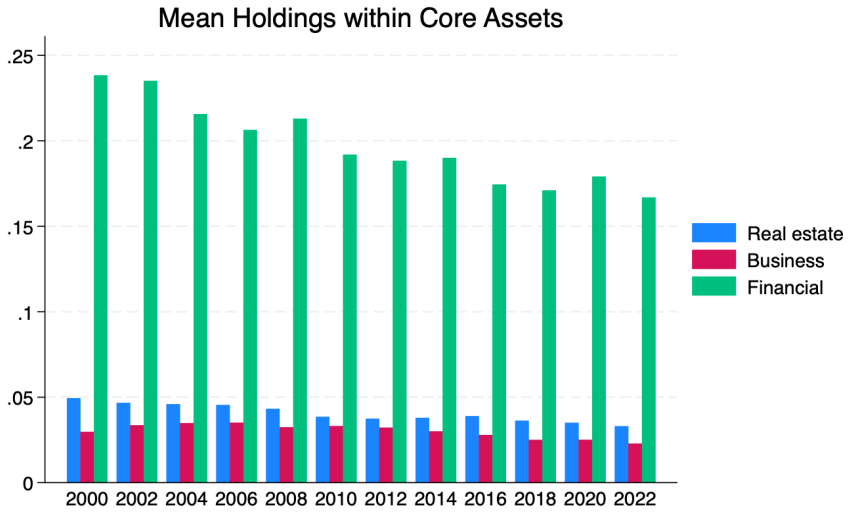

Figure 20: Mean holdings within Liabilities, by year

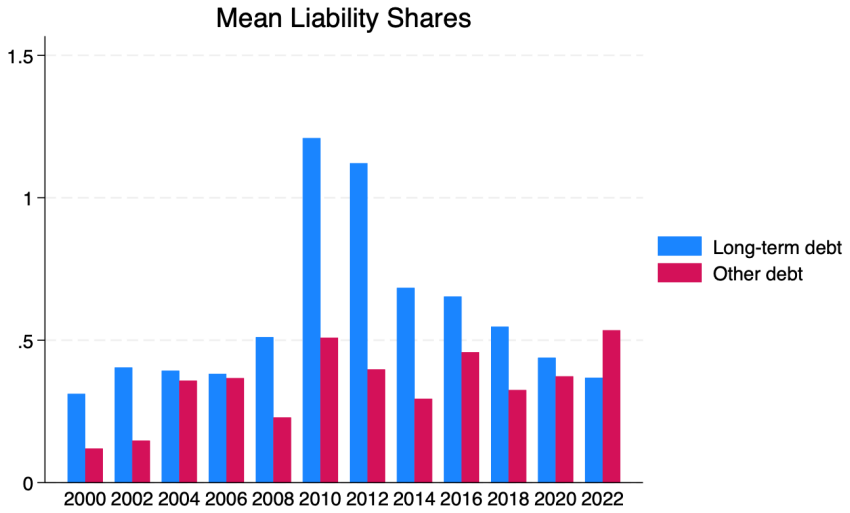

Figure 21: Mean Liability shares, by year

Investment behavior is likely to vary with income and wealth. Asset shares (core, residential, retirement) by percentile of labor income, total income, gross wealth, and net wealth (2022):

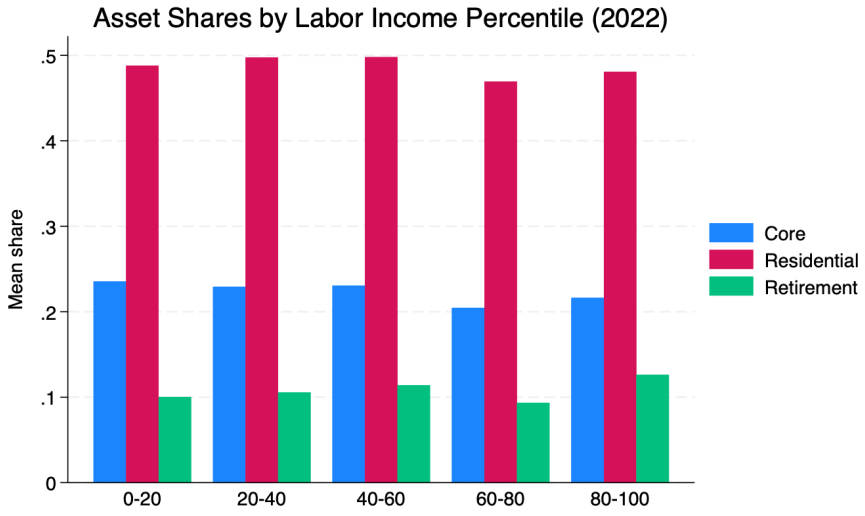

Figure 22: Asset shares by labor income percentile (2022)

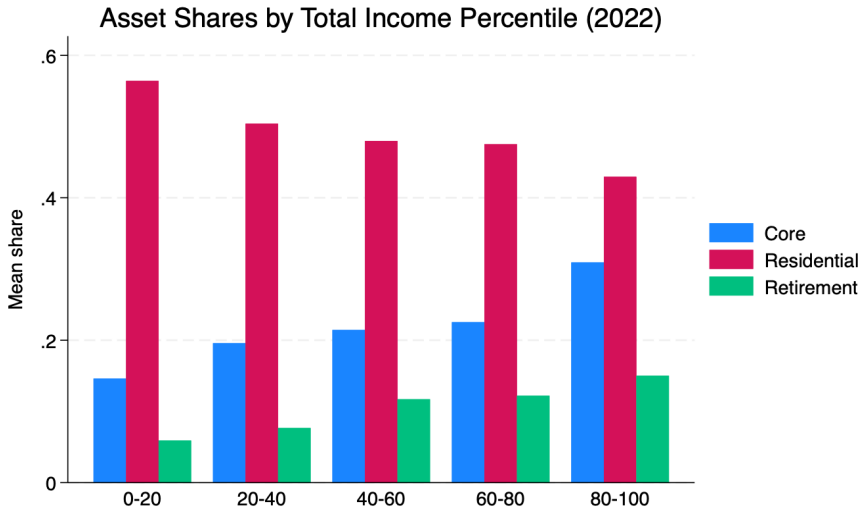

Figure 23: Asset shares by total income percentile (2022)

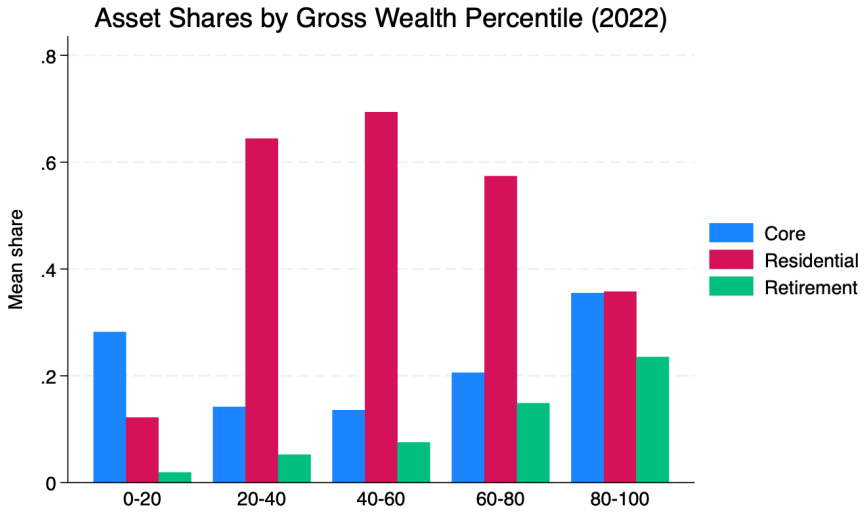

Figure 24: Asset shares by gross wealth percentile (2022)

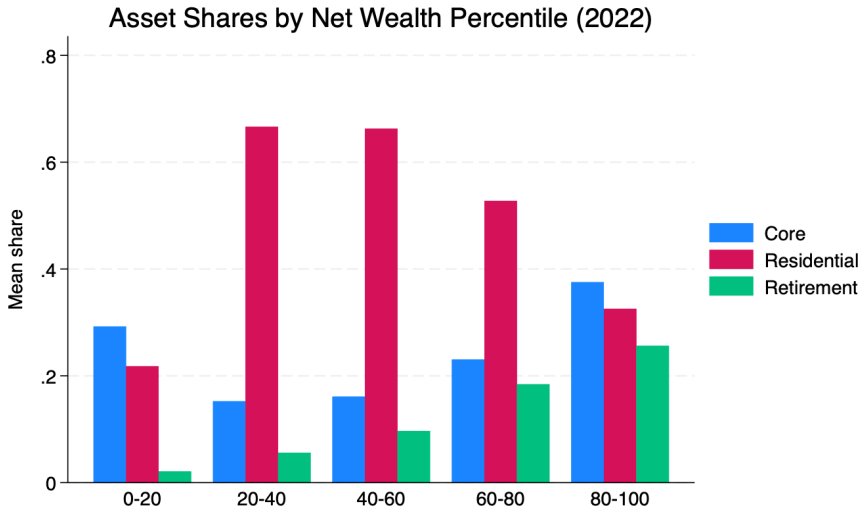

Figure 25: Asset shares by net wealth percentile (2022)

We can also look at the same breakdown by income and wealth percentiles but for the ratio of debt to gross assets. This is captured in the following figures .

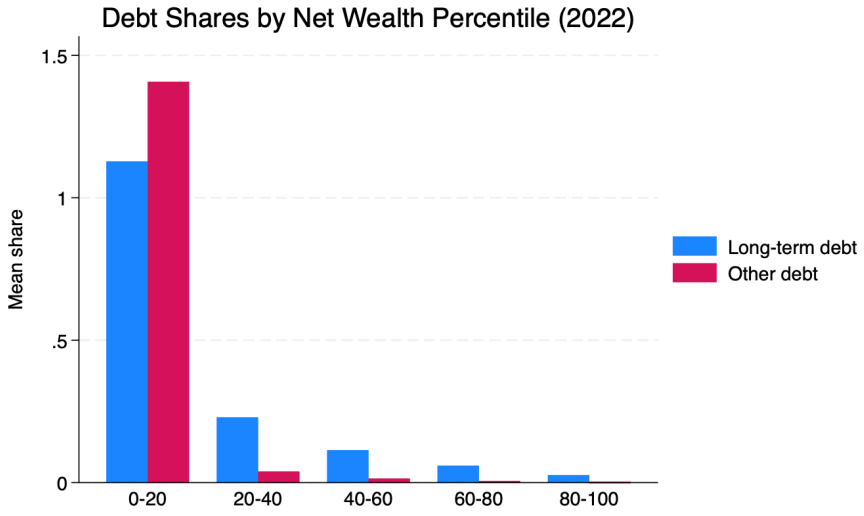

Figure 26: Debt shares by labor income percentile (2022)

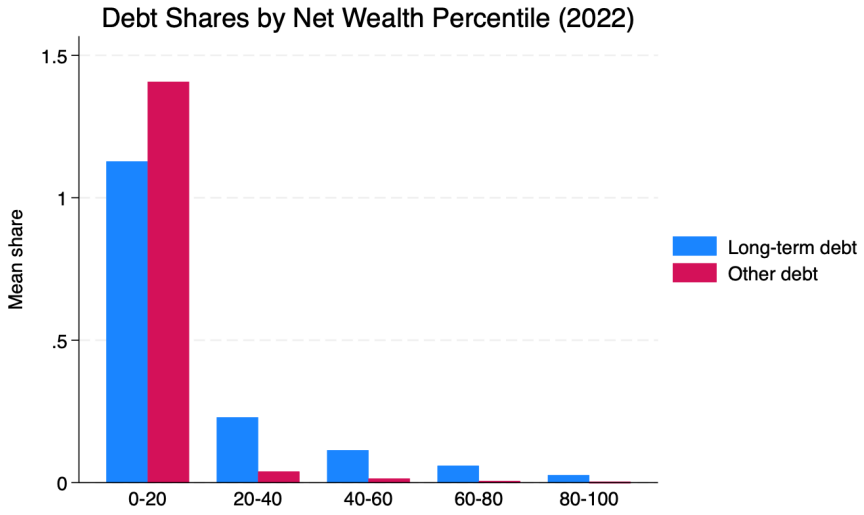

Figure 27: Debt shares by total income percentile (2022)

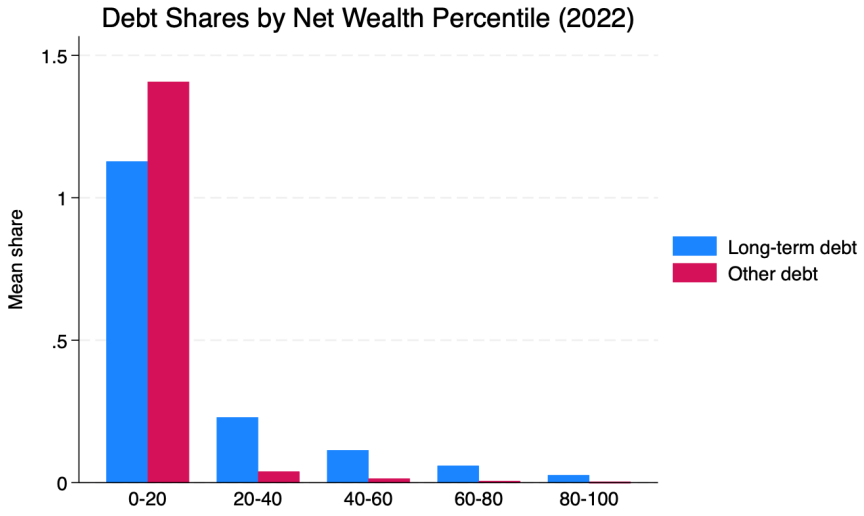

Figure 28: Debt shares by gross wealth percentile (2022)

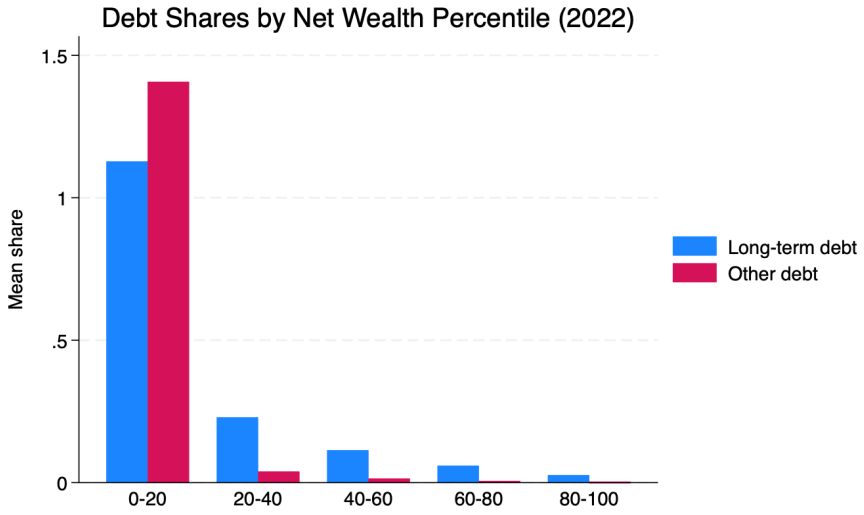

Figure 29: Debt shares by net wealth percentile (2022)

3.3 Returns

I follow recent literature using Norwegian administrative tax data at the population level and and using PSID in terms of the components used to construct a measure of returns. However, I take seriously the structure of the dataset I am working with(the HRS RAND longitudinal file) in

defining the portfolio/asset class for which the returns are being accrued to. As mentioned before, core assets is the most narrowly defined asset class here because interest income and dividends does not disaggregate into the asset classes: stocks, bonds, private business, IRA/Keogh.

The following formula from Daminato and Pistaferri 2024 serves as motivation for the return measures defined using the HRS data:

$$r_t = \frac{y_t^c + cg_t - F_t - y_t^d}{A_{t-1} + .5F_t}$$

where y_t^c interest income and dividends, capital gains cg_t measured as the difference between reported stock across waves, F_t net investment flows, y_t^d payments on debt (in the RAND longitudinal file, the variables were mentioned are all in net terms so this variable was 0), and A_{t-1} total net wealth at beginning of previous period.

3.3.1 Narrow asset classes

Recall that we only see interest income and dividends for core assets and retirement assets. Since this is an important component of the returns calculation, we construct the narrowest return measure on core assets. To do so, I keep track of all asset classes captured in the capital gains variable[4] and aggregate the capital gains and net investment flows for this group of assets.

Returns to core assets are given by

$$r_{core,t} = \frac{y_{core,t}^c + cg_{core,t} - F_{core,t}}{A_{core,t-1} + .5F_{core,t}}$$

where $y_{core,t}^c$ is the interest income and dividents on the core assets, $cg_{core,t}$ are the capital gains on the core assets[5], $F_{core,t}$ are the net investment flows on core assets, and importantly, $A_{core,t-1}$ is the total value of the core assets in the previous period.

The rest of the return measures are defined similarly. In the HRS data, we can see income on retirement assets as well. This allows us to define a return measure for retirement assets:

$$r_{ret.,t} = \frac{y_{ret.,t}^c + cg_{ret.,t} - F_{ret.,t}}{A_{ret.,t-1} + .5F_{ret.,t}}$$

where $y_{ret.,t}^c$ is the interest income and dividents on the retirement assets, $cg_{ret.,t}$ are the capital gains on the retirement assets, $F_{ret.,t}$ are the net investment flows on retirement assets, and $A_{ret.,t-1}$ is the total value of the retirement assets in the previous period.

Based on the modules offered in a given wave of the survey, assume that there are no interest income or dividends to either primary and secondary residential assets, so that the interest income and dividends accrued to residential assets is 0 in a given period ($y_{ret.,t}^c$). With this in mind, returns to residential assets are defined as:

$$r_{res.,t} = \frac{cg_{res.,t} - F_{res.,t}}{A_{res.,t-1} + .5F_{res.,t}}$$

[4]Those asset classes are: other real estate, business/farm, stocks/mutual funds, bonds, checking/savings, and CDs/t-bills.

[5]where the capital gains for each asset class is $V_{i,t} - V_{i,t-1}$, where $V_{i,t}$ is the value of the asset (business or stock or real estate) for the i-th respondent in the t-th wave of the survey.

where $cg_{res.,t}$ are the capital gains on the residential assets, $F_{res.,t}$ are the net investment flows on residential assets (including improvement costs), and $A_{res.,t-1}$ is the total value of the residential assets in the previous period.

3.3.2 Broad asset classes

After defining returns for narrow asset classes (i.e. returns to a single asset), I also define return measure for portfolios (returns on multiple assets). The first is for returns to both core and retirement assets:

$$r_{coret.,t} = \frac{y^c_{coret.,t} + cg_{coret.,t} - F_{coret.,t}}{A_{coret.,t-1} + .5F_{coret.,t}}$$

where $y^c_{coret.,t}$ is the interest income and dividends on core and retirement assets, $cg_{coret.,t}$ are the capital gains on the retirement assets, $F_{coret.,t}$ are the net investment flows on retirement assets, and $A_{ret.,t-1}$ is the total value of the retirement assets in the previous period.

Returns to net wealth is given by

$$r_{net,t} = \frac{y^c_{net.,t} + cg_{net.,t} - F_{net.,t}}{A_{net.,t-1} + .5F_{net.,t}}$$

where $y^c_{net.,t}$ is the interest income and dividends on core and retirement assets, $cg_{net.,t}$ are the capital gains on all available asset classes in the survey, $F_{net.,t}$ are the net investment flows on assets for which it is relevant in the survey (stocks, bonds, business, IRA, residences, and real estate), and $A_{net.,t-1}$ is the total value of the available assets minus liabilities in the previous period[6].

I present the means for the return measures in the following figures. I group them by the returns at the asset level (core, retirement, residential) and at the portfolio level (core, core and retirement, net wealth).

[6] Mortgages on secondary residences are left out of the list of liabilities since it was an optional question in some waves of the survey.

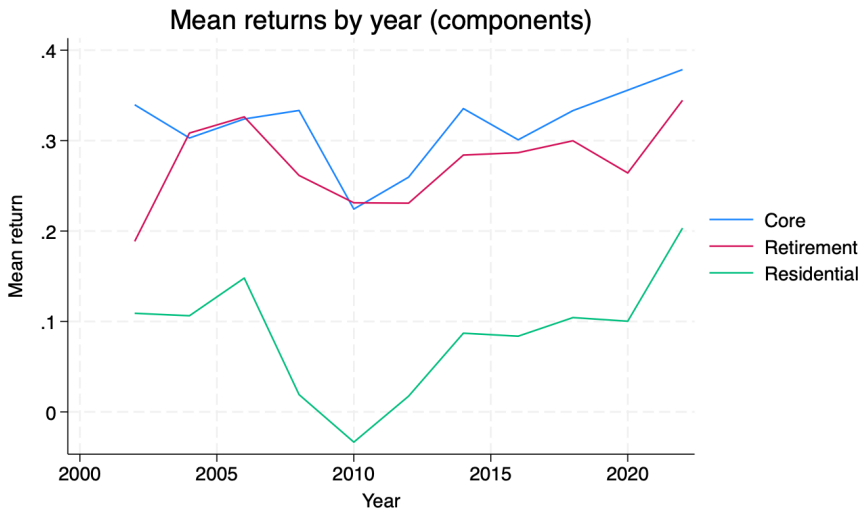

Figure 30: Returns mean by year (components)

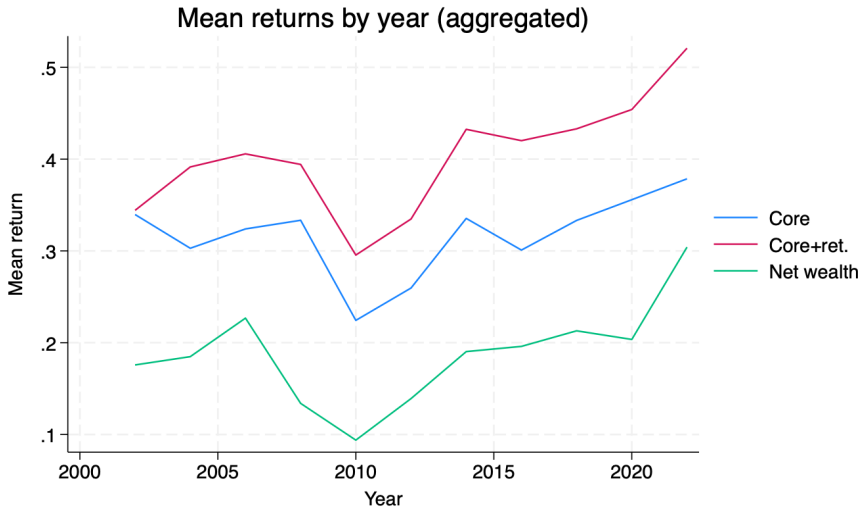

Figure 31: Returns mean by year (aggregated)

The following figures give a better idea of the distribution of the return measures across respondents.

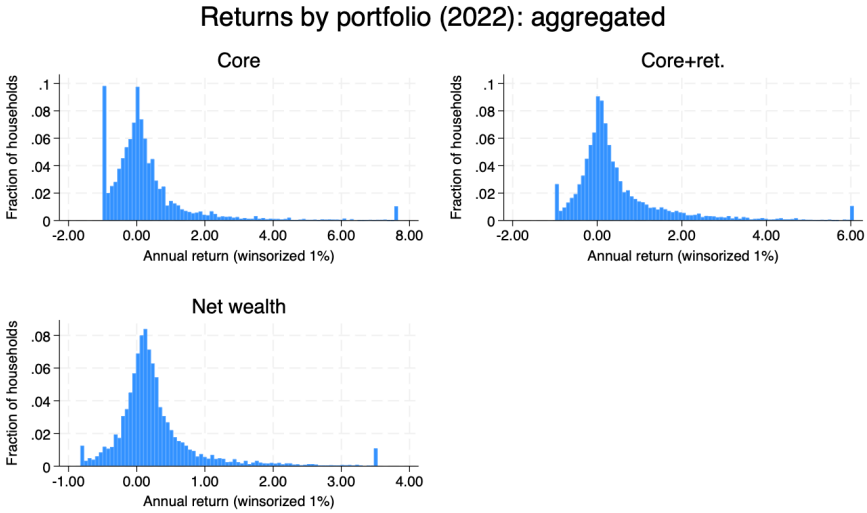

Figure 32: Returns histogram, aggregated (2022)

These are encouraging, as shape of this distribution closely resembles early estimates of the empirical distribution of individual realized returns in the Norwegian population data.

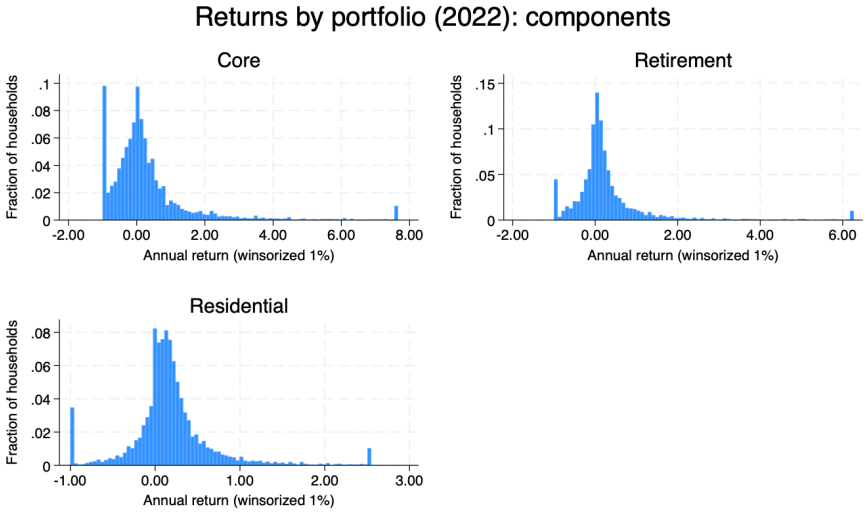

Figure 33: Returns histogram, components (2022)

3.4 Income and wealth

Income and wealth are understood to be positively correlated. To see this play out in the HRS data, I first look at mean labor income by wealth percentile. In ths figure, it is clear that a positive relationship seems to hold.

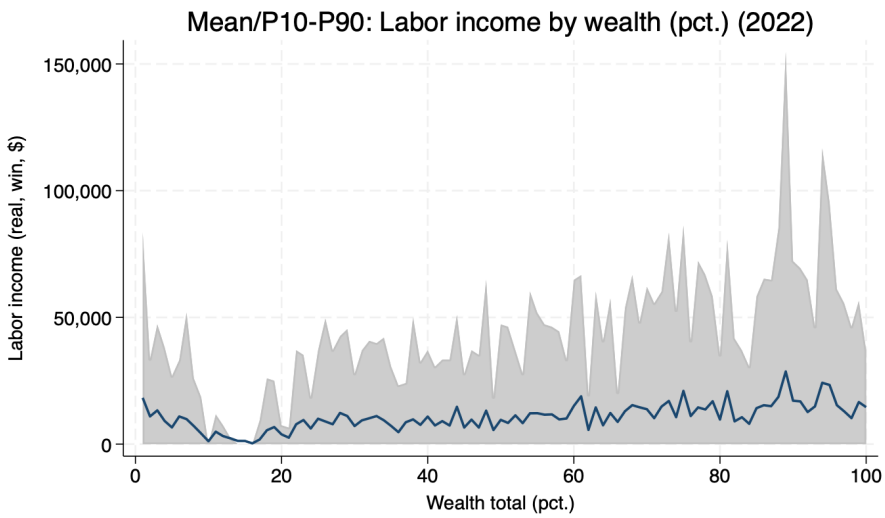

Figure 34: Labor income mean/P10-P90 by wealth percentile (2022)

The literature on income and wealth also documents significantly more inequality in the the upper tails of the wealth distribution than in the income distribution. The observations towards to top and bottom of the wealth distribution in the following figure seem to suggest a non-linear relationship between the variables.

Figure 35: Log labor income binscatter (2022)

I repeat this for the measure of total income and both patterns persist.

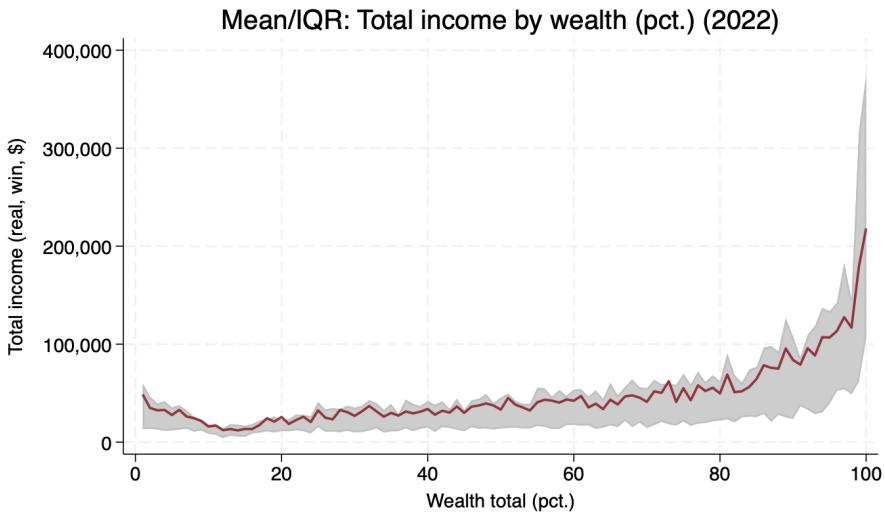

Figure 36: Total income mean/IQR by wealth percentile (2022)

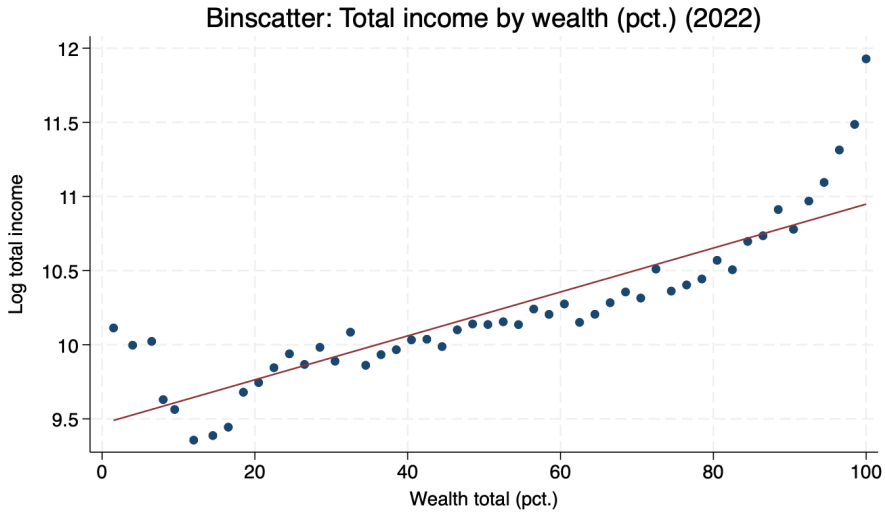

Figure 37: Log total income binscatter (2022)

3.5 Returns and wealth by portfolio

A positive relationship between wealth and returns has also been documented, referred to as *scale dependence*. In the next three figures, I show that there does seem to be a positive statistical relationship between the return measure (core, retirement, residential) and wealth.

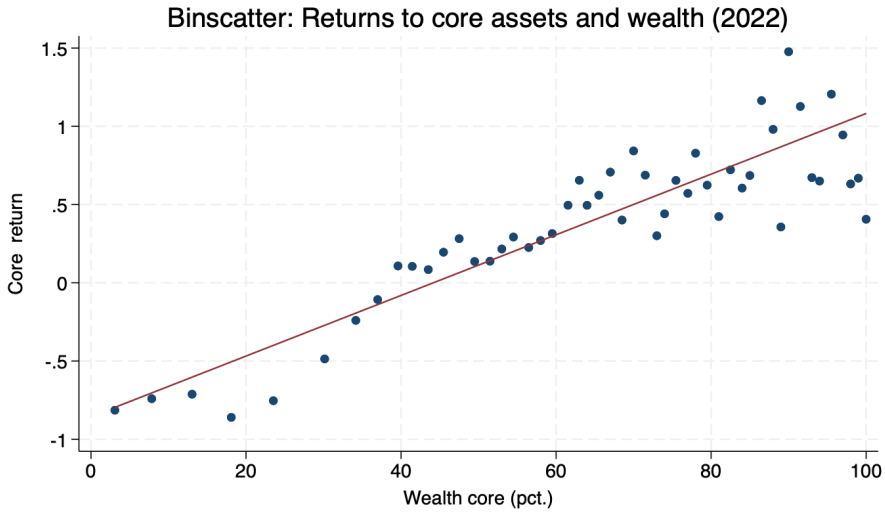

Figure 38: Core return binscatter (2022)

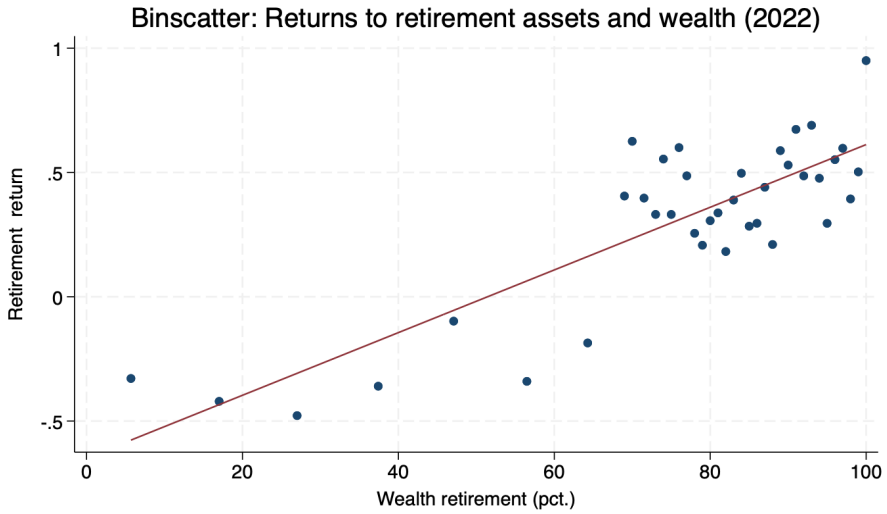

Figure 39: Retirement return binscatter (2022)

Figure 40: Residential return binscatter (2022)

I also show the positive statistical relationship between returns and wealth at the portfolio level, when comprised of core assets and retirement assets.

Figure 41: Core+IRA return binscatter (2022)

Interestingly, the relationship between wealth and returns to total net wealth does not appear positive. In fact, they correlation is slightly downward-sloping.

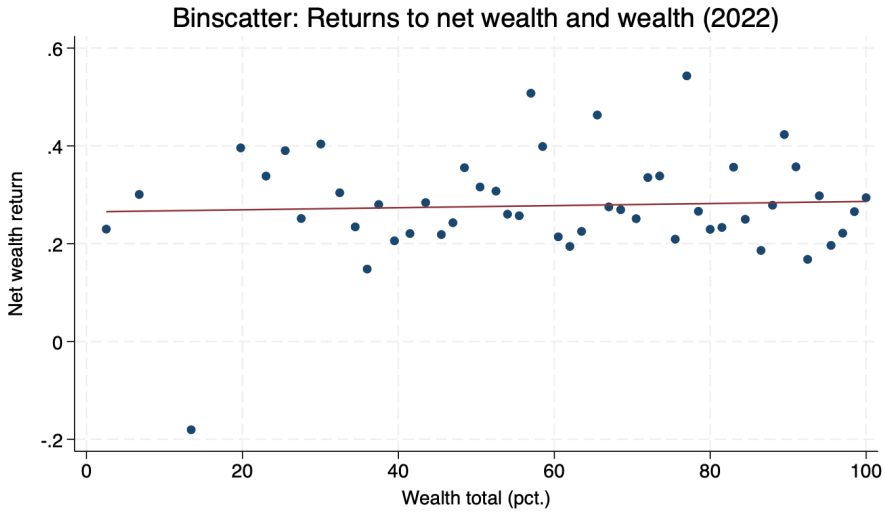

Figure 42: Net wealth return binscatter (2022)

3.6 Trust

I turn my attention to the suite of trust questions in "Section V: Modules" section of the 2020 HRS data. There are a total of 8 questions, asking respondents to say on a scale of 1-10 "how much do you trust people in general?" and of their trust in other features of American life relating to healthcare, finance, and media. These questions were only asked for a single year. Although this is an issue, because the panel structure of the HRS allows me to estimate the persistent component of returns, which is an important object in this literature. That said, in the pooled setting, we can assume that trust, like education, is fixed over time.[7]

I turn my attention to the correlations between the trust variables in figure . There is significant correlation between the trust measures.

Table 5: Trust variables correlation matrix

	General trust	Social Security	Medicare	Banks	Financial advisors	Mutual funds	Insurance	Media
General trust	1.00	0.30	0.26	0.37	0.33	0.36	0.39	0.21
Social Security	0.30	1.00	0.84	0.45	0.33	0.26	0.43	0.29
Medicare	0.26	0.84	1.00	0.41	0.31	0.26	0.38	0.27
Banks	0.37	0.45	0.41	1.00	0.55	0.43	0.46	0.27
Financial advisors	0.33	0.33	0.31	0.55	1.00	0.63	0.50	0.26
Mutual funds	0.36	0.26	0.26	0.43	0.63	1.00	0.41	0.26
Insurance	0.39	0.43	0.38	0.46	0.50	0.41	1.00	0.32
Media	0.21	0.29	0.27	0.27	0.26	0.26	0.32	1.00

Pairwise correlations between trust items (2020).

From here, I perform a principal component analysis and store the first two components for use in the statistical analysis. The loadings on each of the trust measures is given in figure .

[7] Literature on trust talks about how history of being cheated or treated fairly form individuals' trust over time. If this is true and at some point, one learns enough an forms their trust level, then a sample with an overrepresentation of older household is a reasonable environment to assume constant trust levels.

Table 6: Trust PCA loadings (first two components)

Trust item	PC1	PC2
General trust	0.3002	0.1808
Social Security	0.3835	-0.5451
Medicare	0.3657	-0.5680
Banks	0.3887	0.1014
Financial advisors	0.3844	0.3757
Mutual funds	0.3480	0.4309
Insurance	0.3786	0.0971
Media	0.2565	-0.0317

Principal components on trust variables (2020).

I am interested in the relationship between trust and economic performance as the literature is, however in my setting the measure of economic performance is the return to assets. If a hump-shaped relationship is reasonable for income, it is even more plausible for returns: there is an inherent (and possibly explicit) level of trust between borrower and lender when forming credit contracts.

That said, it is important to understand the nature of the trust measure in the HRS sample. I begin to do this by considering each trust measure conditional on race/ethnicity. There seems to be significant group variation in means.

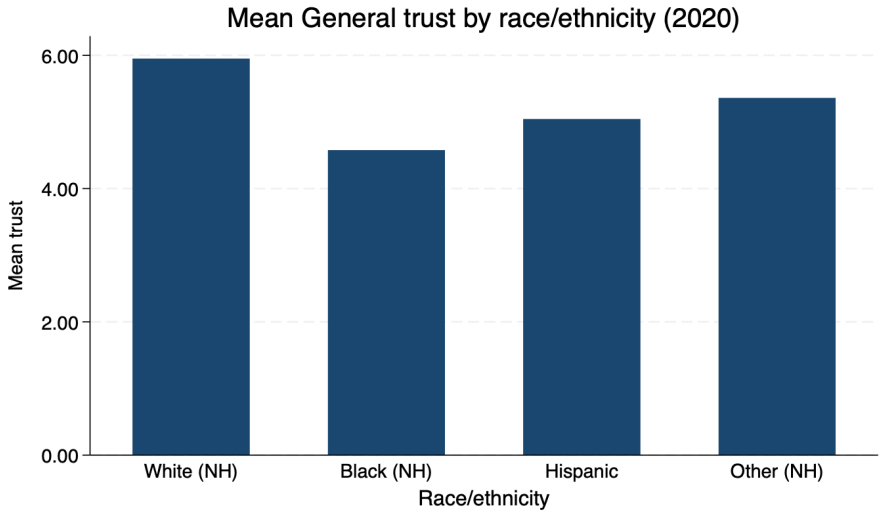

Figure 43: Mean general trust by race/ethnicity (2020)

3.6.1 Trust and income

As discussed before, the literature on trust and economic performance suggests there's a "right amount of trust". I want to see if this hump shaped relationship holds between the measures of trust and income in the HRS. After deflating and, more importantly, winsorizing labor income at the top and bottom 1%, the relationship seems to be hump shaped.

Income in the HRS is highly right-skewed and features a large mass at zero labor income (reflecting retirement and non-participation). In applied work, a common baseline is to use log(income) because it reduces the influence of extreme values and yields coefficients interpretable as semi-elasticities. However, $\log(\cdot)$ is undefined at zero (and problematic with negative values when they arise from measurement or netting conventions), so using log(income) in the HRS mechanically drops a large fraction of observations and can substantially change the visual and econometric relationship.

In our data, the corresponding scatter of log(income) versus trust changes markedly because so many observations have exactly zero labor income. Using $\log(1+\text{income})$ retains zeros but imposes an ad hoc curvature near zero and, in our case, does not restore the same qualitative picture.

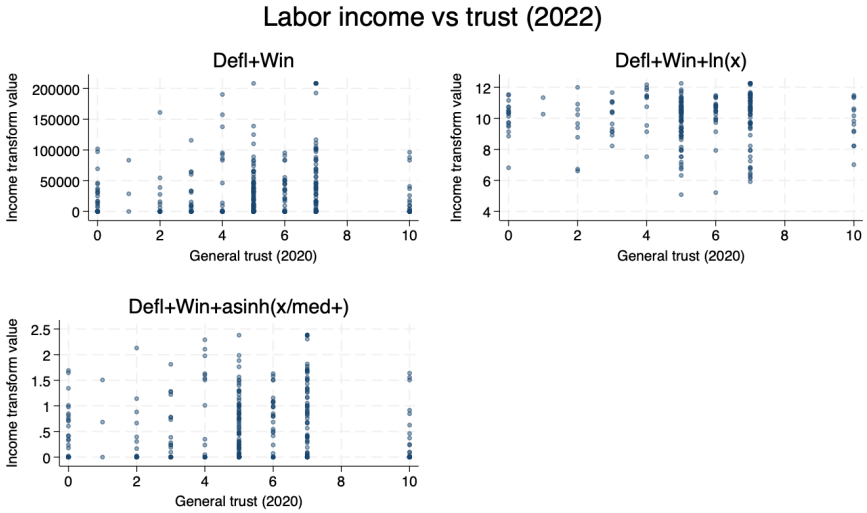

Figure 44: Labor income measures vs. trust (2022)

Motivated by this issue, we follow a large applied econometrics literature that uses the inverse hyperbolic sine (IHS, or asinh) transformation as a "log-like" mapping that is well-defined at zero and can accommodate negative values. The IHS transformation was advocated early on as an alternative to the log for heavy-tailed outcomes with extreme values and potential zeros/negatives (Burbidge, Magee, and Robb, *"Alternative Transformations to Handle Extreme Values of the Dependent Variable"*; MacKinnon and Magee, *"Transforming the Dependent Variable in Regression Models"*). More recently, Bellemare and Wichman (*"Elasticities and the Inverse Hyperbolic Sine Transformation"*) provide practical guidance on interpretation, emphasizing that $\text{asinh}(y)$ behaves similarly to $\log(y)$ for large y (since $\text{asinh}(y) \approx \log(2y)$ when y is large) while remaining defined at $y = 0$.

A related point is that the IHS can be sensitive to the units of measurement, which motivates a *scaled* IHS of the form $\text{asinh}(y/\kappa)$ (see discussions in Aïhounton and Henningsen, *"Units of Measurement and the Inverse Hyperbolic Sine Transformation"*; Norton, *"The Inverse Hyperbolic Sine Transformation"*). In practice, κ is chosen as a meaningful scale (e.g., the median positive income), which makes the transformation more comparable across samples and improves interpretability near zero. Empirically, applying the (scaled) IHS to our deflated and winsorized income restores a scatter with trust that is visually well-behaved while retaining the economically important mass at zero labor income. This can be seen for the measure of toal income as well in the following figure .

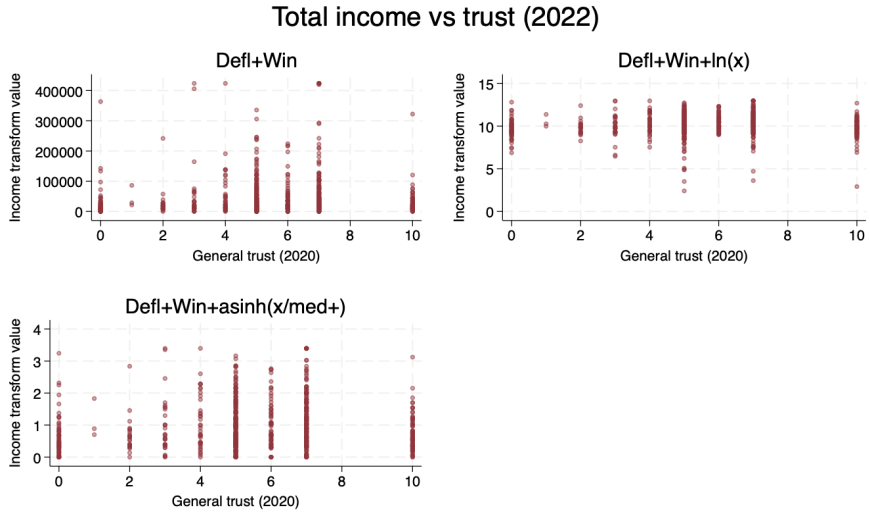

Figure 45: Total income measures vs. trust (2022)

3.6.2 Trust and returns

The scatterplots for trust and the measures of returns suggest stronger evidence for this hump shaped relationship. Especially for the smaller portfolio compositions (core, core and retirement), return values are highest in the middle and lower at the lowest and highest trust values.

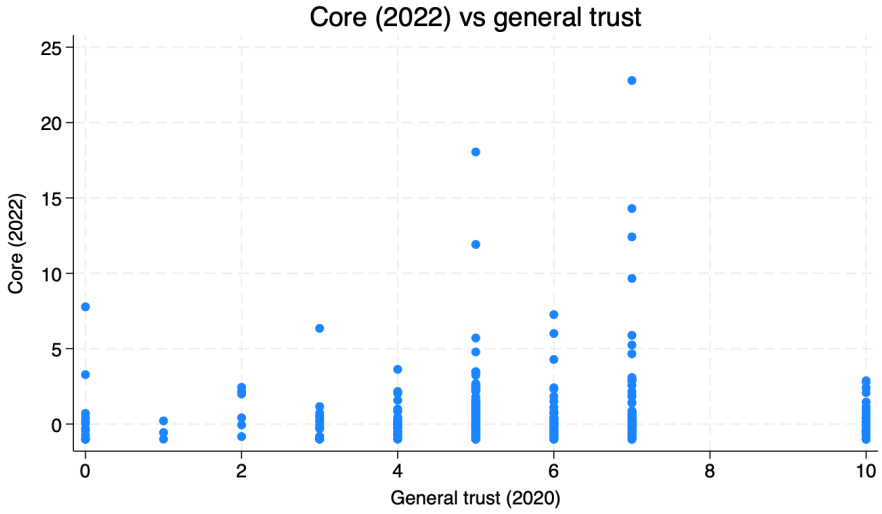

Figure 46: Returns to core assets vs. trust (2022)

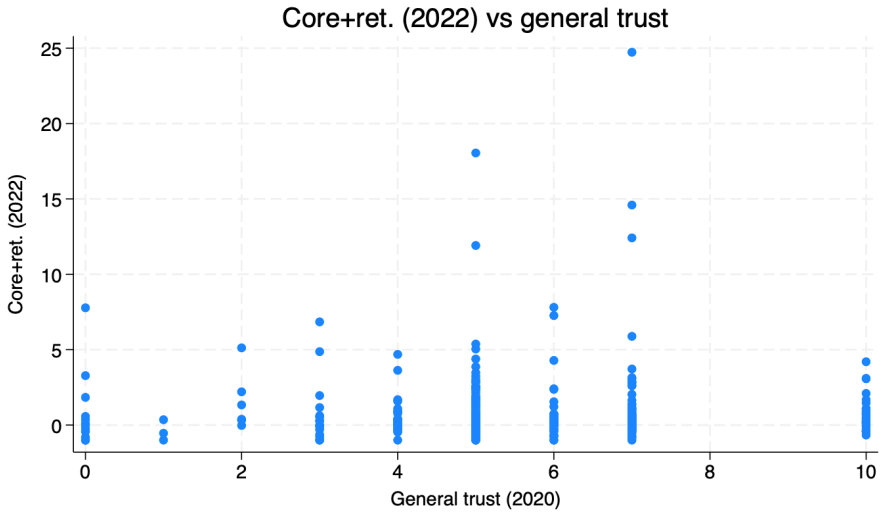

Figure 47: Returns to core and retirement assets vs. trust (2022)

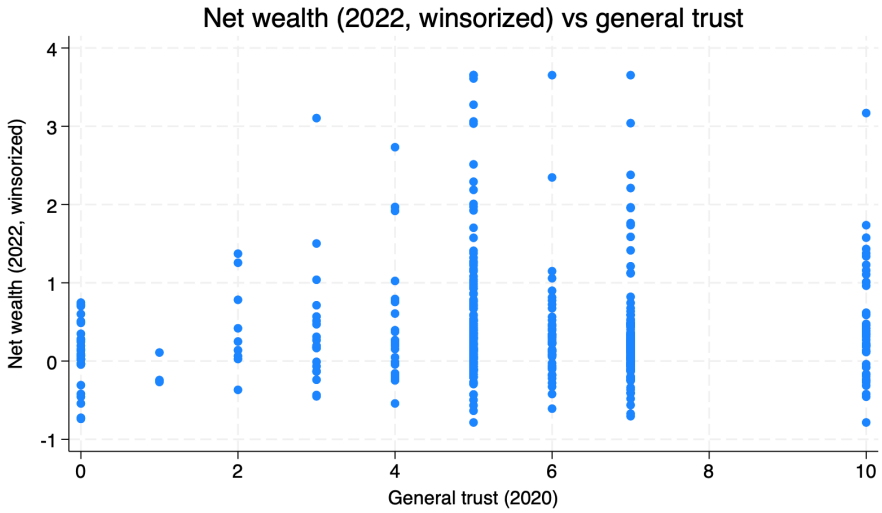

Figure 48: Returns to net wealth vs. trust (2022)

3.7 Demographics

As the HRS oversample older households, I take a quick look at demographic variables that will be important for the statistical analysis later.

Table 7: Demographics: general controls (2020)

Variable	N	Mean
Age	15723	68.089
Female	15723	0.594
Years of education	15651	12.961
Married	15685	0.537
Immigrant	15718	0.172
Born in U.S.	15718	0.828
Race: White (NH)	8865	0.565
Race: Black (NH)	3381	0.216
Race: Hispanic	2678	0.171
Race: Other (NH)	765	0.049
Working (in labor force)	15479	0.386

Table 8: Demographics: other controls (2020)

Variable	N	Mean
Depression	14998	1.55
Health conditions	15723	2.39
Medicare	15498	0.60
Medicaid	15383	0.14
Life insurance	15340	0.53
Times divorced	15723	0.57
Times widowed	15723	0.22

Mean = pct.

The literature on trust already documents a signficant statistical relationship between trust and mental health. For that reason, I use the HRS RAND measure for a mental health index and show a clearly negative, linear relationship with trust.

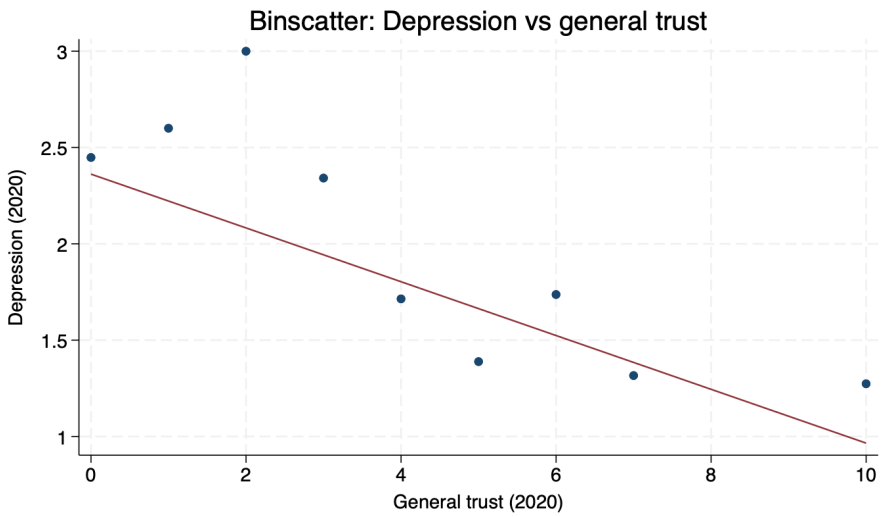

Figure 49: Depression vs. trust

4 Results

4.1 Determinants of trust

First, I go beyond correlations between the variables by trying to consider which variables explain the variation in the trust measures.

Table 9: General trust (2020) on controls

	Demographics	Full controls
Female	0.19	0.27
	(0.17)	(0.18)
Years of education	0.05*	0.04
	(0.03)	(0.03)
Married	0.50***	0.17
	(0.18)	(0.19)
NH Black	−0.99***	−1.07***
	(0.22)	(0.23)
Hispanic	−0.38	−0.34
	(0.27)	(0.27)
NH Other	−0.19	−0.19
	(0.32)	(0.33)
Depression		−0.14***
		(0.05)
Health conditions		−0.05
		(0.07)
Covered by Medicare		0.15
		(0.30)
Covered by Medicaid		−0.58**
		(0.28)
Has life insurance		0.25
		(0.18)
Number of reported divorces		−0.16
		(0.11)
Number of reported times being widowed		0.00
		(0.25)
Constant	2.04	2.90
	(1.49)	(1.84)
Observations	894.00	875.00
Adj. R-squared	0.09	0.12

Standard errors in parentheses

Robust standard errors in parentheses. Trust and controls from 2020. Age bins (5-yr) included; coefficients omitted.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

I focus the main text on a subset of specifications. For income, I omit labor income and log specifications; labor income results are not statistically significant, while total income results are robust to both log and IHS. For returns, I omit core and core-plus-retirement portfolio results, which are largely insignificant across specifications. I report only net wealth (r5) returns, which show significant trust effects and are robust to raw returns and different trimming and winsorization choices.

4.2 Income and trust

After examining the determinants of trust, I test whether the hump-shaped relationship between trust and income in Butler, Giuliano, and Guiso 2016 appears in the HRS. I use deflated winsorized total income in IHS form. Cross-section (2020) and average-over-waves results are below.

Table 10: Total income (2020) on General trust (2020), scaled asinh

	1	2	3	4
General trust	0.03***	0.19***	0.00	0.05**
	(0.01)	(0.02)	(0.01)	(0.02)
$(\text{General})^2$		−0.02***		−0.00**
		(0.00)		(0.00)
Female			−0.27***	−0.27***
			(0.04)	(0.04)
Years of education			0.07***	0.07***
			(0.01)	(0.01)
Married			0.14***	0.14***
			(0.04)	(0.04)
Born in U.S.			0.02	0.02
			(0.07)	(0.07)
In labor force			0.50***	0.49***
			(0.05)	(0.05)
NH Black			−0.24***	−0.23***
			(0.05)	(0.05)
Hispanic			−0.24***	−0.23***
			(0.07)	(0.07)
NH Other			−0.27***	−0.27***
			(0.09)	(0.09)
Constant	0.83***	0.53***	−0.48***	−0.51***
	(0.05)	(0.06)	(0.14)	(0.16)
Observations	900.00	900.00	890.00	890.00
Adj. R-squared	0.01	0.05	0.35	0.35
Joint test: Trust+Trust^2 p-value		0.00		0.08

Standard errors in parentheses

Age bins (5-yr) included in columns 3–4.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 11: Average total income (avg defl wins, IHS) on General trust (2020)

	1	2	3	4
General trust	0.03***	0.21***	0.00	0.05***
	(0.01)	(0.02)	(0.01)	(0.02)
$(\text{General})^2$		−0.02***		−0.00***
		(0.00)		(0.00)
Female			−0.25***	−0.25***
			(0.04)	(0.04)
Years of education			0.08***	0.08***
			(0.01)	(0.01)
Married			0.20***	0.19***
			(0.04)	(0.04)
Born in U.S.			−0.03	−0.03
			(0.06)	(0.06)
In labor force			0.37***	0.37***
			(0.04)	(0.04)
NH Black			−0.27***	−0.26***
			(0.05)	(0.05)
Hispanic			−0.29***	−0.28***
			(0.06)	(0.06)
NH Other			−0.28***	−0.29***
			(0.08)	(0.08)
Constant	0.90***	0.58***	−0.62***	−0.66***
	(0.05)	(0.05)	(0.15)	(0.17)
Observations	900.00	900.00	890.00	890.00
Adj. R-squared	0.01	0.07	0.42	0.43
Joint test: Trust+Trust^2 p-value		0.00		0.03

Standard errors in parentheses

Age bins (5-yr) included in columns 3–4.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

4.3 Returns and trust

With the hump-shape relationship between earnings and trust present in the HRS, I wanted to see if a similar relationship held for returns. The largest portfolio composition is on net wealth, which includes core assets, retirement assets, residential assets, along with other smaller categories (and debt variables). The regression results for winsorized (5 percent at each tail) annual returns to net wealth for 2022 are given below.

Table 12: 2022 Returns to net wealth (2022) on General trust (2020) (5 percent winsorized)

	1	2	3	4
General trust	0.01	0.06**	0.01	0.03
	(0.01)	(0.02)	(0.01)	(0.03)
(General)^2		−0.00*		−0.00
		(0.00)		(0.00)
Female			−0.10**	−0.09**
			(0.04)	(0.04)
Years of education			0.03***	0.02***
			(0.01)	(0.01)
Married			0.08	0.08
			(0.05)	(0.05)
Born in U.S.			0.03	0.03
			(0.05)	(0.05)
NH Black			−0.16**	−0.15**
			(0.06)	(0.07)
Hispanic			−0.13*	−0.13*
			(0.07)	(0.07)
NH Other			−0.05	−0.05
			(0.12)	(0.12)
In labor force			0.13**	0.13**
			(0.05)	(0.05)
_cons	0.24***	0.13**	−0.49**	−0.47**
	(0.06)	(0.07)	(0.20)	(0.20)
Observations	497.00	497.00	406.00	406.00
Adj. R-squared	0.00	0.01	0.23	0.23
Joint test: Trust p-value		0.03		0.54

Standard errors in parentheses

Robust standard errors in parentheses. Age bins (5-yr) and wealth deciles included in columns 3–4.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Average annual returns (5 percent winsorized) over 2002–2022 on trust for net wealth are given below.

Table 13: Average Returns to net wealth (avg) on General trust (2020) (5 percent winsorized)

	1	2	3	4
General trust	0.01**	0.07***	0.01*	0.05***
	(0.00)	(0.01)	(0.01)	(0.02)
$(\text{General})^2$		−0.01***		−0.00**
		(0.00)		(0.00)
Female			−0.04*	−0.04
			(0.02)	(0.02)
Years of education			0.01	0.01
			(0.00)	(0.00)
Married			−0.01	−0.01
			(0.03)	(0.03)
Born in U.S.			−0.02	−0.02
			(0.04)	(0.04)
NH Black			0.02	0.03
			(0.04)	(0.04)
Hispanic			−0.05	−0.05
			(0.05)	(0.05)
NH Other			0.03	0.03
			(0.07)	(0.07)
In labor force			0.10***	0.10***
			(0.03)	(0.03)
_cons	0.15***	0.04	0.07	0.08
	(0.03)	(0.04)	(0.09)	(0.10)
Observations	750.00	750.00	593.00	593.00
Adj. R-squared	0.01	0.03	0.06	0.07
Joint test: Trust p-value		0.00		0.01

Standard errors in parentheses

Robust standard errors in parentheses. Age bins (5-yr) and wealth deciles included in columns 3–4.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

4.4 Returns from 2002-2022

Next, I wanted to compute returns across several years and attempt to describe the persistent component of returns that Fagereng et al. 2020 point to as heterogeneity across individuals. I use three similar specifications. First, a pooled OLS regression with a baseline set of controls. Second, a similar pooled regression aimed at controlling for risk exposure. Third, a panel regression with individual fixed effects and year dummies. The winsorized (5 percent) returns to net wealth are given in the following tables.

4.5 The pooled regression with constant trust

The winsorized returns for returns to net wealth are given in the following table.

Table 14: Panel: returns to net wealth (5 percent winsorized)

	(1)	(2)	(3)
Years of education	-0.00^{***}	-0.01^{***}	-0.01^{***}
	(0.00)	(0.00)	(0.00)
Female	-0.02^{***}	-0.03^{*}	-0.03^{*}
	(0.00)	(0.02)	(0.02)
NH Black	0.06^{***}	0.05^{*}	0.05^{*}
	(0.00)	(0.03)	(0.03)
Hispanic	0.03^{***}	-0.01	-0.01
	(0.01)	(0.03)	(0.03)
NH Other	0.02^{**}	0.01	0.01
	(0.01)	(0.04)	(0.04)
Employed	0.03^{***}	0.03^{*}	0.03^{*}
	(0.00)	(0.02)	(0.02)
Married	-0.06^{***}	-0.06^{***}	-0.06^{***}
	(0.00)	(0.02)	(0.02)
Born in U.S.	0.02^{***}	0.03	0.03
	(0.00)	(0.02)	(0.02)
Trust		0.01^{**}	0.03^{***}
		(0.00)	(0.01)
Trust^2			-0.00^{**}
			(0.00)
_cons	0.15	-0.56^{***}	-0.54^{***}
	(0.12)	(0.06)	(0.06)
Observations	102091.00	2899.00	2899.00
Adj. R-squared	0.03	0.04	0.04
Joint test: Trust+Trust^2 p-value			0.00

Standard errors in parentheses

Cluster-robust SE in parentheses. Age bins (5-yr), wealth deciles, region dummies, and year dummies omitted from table but included in regressions.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

4.5.1 Controlling for risk exposure

To control for risk exposure, I add full interaction terms between shares invested in given asset classes (core, retirement, residential) and year. As we could see from the descriptive statistics, mean returns surely do not seem constant over the time period (ex. Global Financial Crisis). The tables capturing the regression results for the return measures are given below. Notice the effect when we extend the model to allow for linear and quadratic trust.

Table 15: Panel Spec 2: returns to net wealth (5 percent winsorized, share x year)

	(1)	(2)	(3)
Years of education	-0.01^{***}	-0.01^{***}	-0.01^{***}
	(0.00)	(0.00)	(0.00)
Female	-0.02^{***}	-0.02	-0.02
	(0.00)	(0.02)	(0.01)
NH Black	0.07^{***}	0.04	0.04
	(0.00)	(0.03)	(0.03)
Hispanic	0.05^{***}	-0.01	-0.01
	(0.01)	(0.03)	(0.03)
NH Other	0.02^{***}	0.03	0.03
	(0.01)	(0.04)	(0.04)
Employed	0.03^{***}	0.02	0.02
	(0.00)	(0.02)	(0.02)
Married	-0.06^{***}	-0.07^{***}	-0.07^{***}
	(0.00)	(0.02)	(0.02)
Born in U.S.	0.01^{*}	0.02	0.02
	(0.00)	(0.02)	(0.02)
Share core	-0.06^{**}	0.25	0.25
	(0.03)	(0.24)	(0.24)
Share IRA	-0.24^{***}	-0.08	-0.08
	(0.03)	(0.24)	(0.24)
Share residential	-0.13^{***}	-0.00	0.01
	(0.03)	(0.23)	(0.23)
Share long-term debt	-0.02^{***}	-0.15	-0.16
	(0.01)	(0.27)	(0.27)
Share other debt	-0.01	0.13	0.14
	(0.01)	(0.17)	(0.16)
Trust		0.01^{**}	0.03^{***}
		(0.00)	(0.01)
Trust^2			-0.00^{**}
			(0.00)
_cons	0.17	-0.46^{**}	-0.45^{**}
	(0.16)	(0.22)	(0.22)
Observations	100837.00	2866.00	2866.00
Adj. R-squared	0.05	0.06	0.06
Joint test: Trust+Trust^2 p-value			0.01
Joint test: Share core x year p-value	0.00	0.01	0.01
Joint test: Share IRA x year p-value	0.00	0.01	0.01
Joint test: Share res x year p-value	0.00	0.01	0.01
Joint test: Share debt long x year p-value	0.00	0.13	0.13
Joint test: Share debt other x year p-value	0.61	0.00	0.00

Standard errors in parentheses

Cluster-robust SE in parentheses. Spec 2: share x year controls for risk exposure.

Age bins, wealth deciles, region dummies, year dummies,

and share x year omitted from table but included in regressions.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

4.5.2 Fixed effects and the persistent component of returns

The accompanying panel fixed-effects regressions (Spec 3, winsorized) are given in the table below.

Table 16: Panel Spec 3: returns to net wealth (5 percent winsorized, share x year)

	(1)
Employed	0.03***
	(0.00)
Married	−0.05***
	(0.01)
Share core	0.24***
	(0.04)
Share IRA	0.08*
	(0.04)
Share residential	0.14***
	(0.04)
Share long-term debt	−0.01*
	(0.01)
Share other debt	−0.08**
	(0.04)
_cons	−0.47***
	(0.13)
Observations	101543.00
Within R^2	0.19
Rho	0.66
Sigma u	0.46
Sigma e	0.33
Joint test: Share (core,IRA,res) x year p-value	0.00
Joint test: Share (debt long,other) x year p-value	0.00

Standard errors in parentheses

Cluster-robust SE in parentheses. Individual fixed effects.

Age bins, wealth deciles, region dummies, year dummies,

share x year interactions included in estimation but omitted from table.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

The distribution of estimated individual fixed effects from the panel regressions with share × year interactions (Spec 3) is shown in the following histogram.

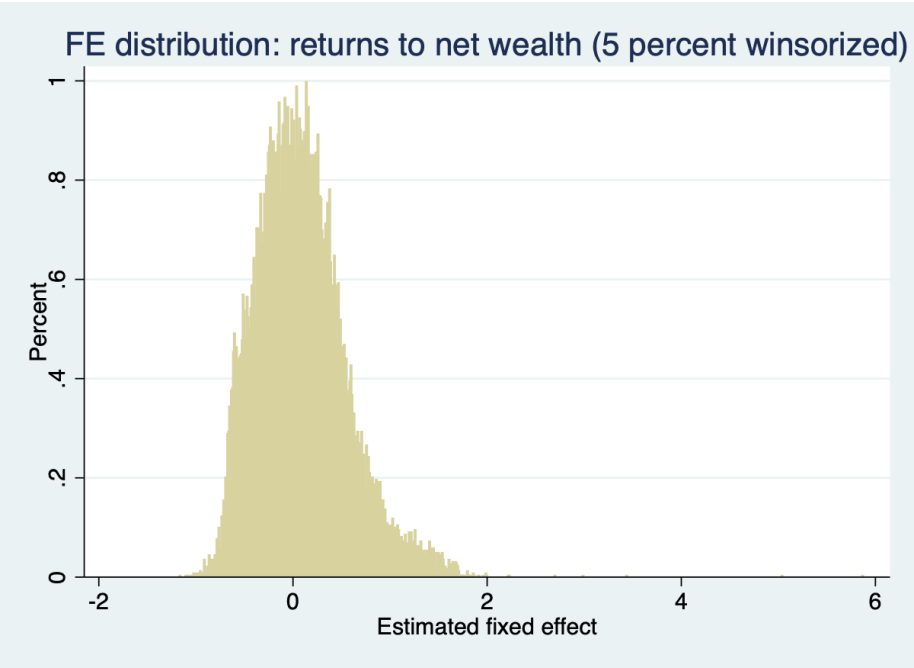

Figure 50: FE distribution: returns to net wealth (5 percent winsorized)

4.6 Estimated fixed effects for returns

I regress the estimated fixed effects on time-invariant covariates (education, gender, race, born in U.S., trust). The second-stage results for winsorized returns to net wealth are given in the following table.

Table 17: Second-stage: FE from returns to net wealth (5 percent winsorized) on time-invariant vars

	(1)	(2)	(3)
Years of education	-0.04^{***}	-0.04^{***}	-0.04^{***}
	(0.00)	(0.01)	(0.01)
Female	0.01^{**}	0.04	0.04
	(0.01)	(0.04)	(0.04)
NH Black	0.30^{***}	0.25^{***}	0.25^{***}
	(0.01)	(0.05)	(0.05)
Hispanic	0.21^{***}	0.22^{***}	0.22^{***}
	(0.01)	(0.05)	(0.05)
NH Other	0.14^{***}	0.07	0.07
	(0.02)	(0.07)	(0.07)
Born in U.S.	0.07^{***}	0.13^{***}	0.13^{***}
	(0.01)	(0.05)	(0.05)
Trust		0.00	0.02
		(0.01)	(0.02)
Trust^2			-0.00
			(0.00)
_cons	0.40^{***}	0.40^{***}	0.37^{***}
	(0.02)	(0.10)	(0.10)
Observations	21613.00	560.00	560.00
Adj. R-squared	0.14	0.16	0.16
Joint test: Trust+Trust^2 p-value			0.68

Standard errors in parentheses

Robust SE. FE from Panel Spec 3 returns to net wealth regression (5 percent winsorized).

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

The relationship between estimated fixed effects and trust, education, race, and gender is illustrated in the following figures.

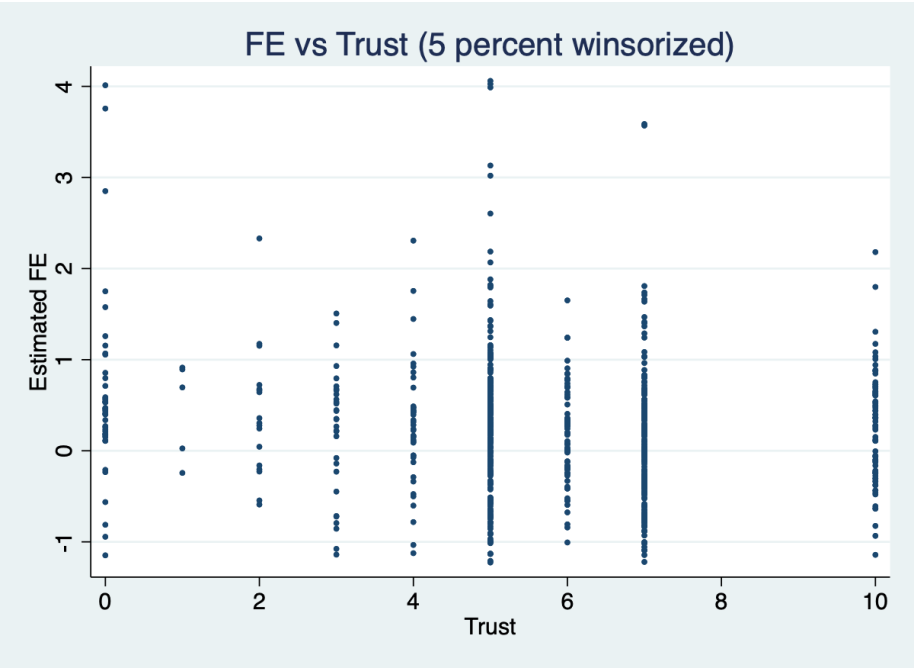

Figure 51: FE vs. trust (5 percent winsorized)

5 Extensions

In this section, I describe the data and accompanying statistical model used to understand the role of *financial literacy* in the current story of an empirical relationship between trust and returns.

Additionally, the literature on trust and social capital is clear on how heterogenity in income, race and other factors related to one's neighborhood can be important for trust. To this end, we consider two additional variables in the survey: respondent *region* and *hometown population size*.

5.1 Financial literacy and returns

Financial literacy can be an important factor when trying to understand the persistent component of returns. The literature on measuring financial literacy using survey data has agreed on three questions (the "Big Three") to measure financial literacy for respondents. The first asks about compound interest: given $100 in a savings account at 2% per year, how much would you have after 5 years—less than $102, exactly $102, or more than $102? The second asks about inflation: if the interest rate is 1% and inflation is 2%, after one year could you buy more, the same, or less than today? The third asks about risk diversification: whether the statement "buying a single company's stock usually provides a safer return than a stock mutual fund" is true or false.

5.1.1 Descriptive statistics

Table 18: Financial literacy summary (2020)

Variable	N	Mean (prop. correct)
Interest	1302	0.74
Inflation	1273	0.76
Risk	1072	0.75

Table 19: Financial literacy: Literacy score (0–3) frequency

Literacy score	N	Pct
0	25	2.4
1	150	14.4
2	364	35.0
3	500	48.1

Table 20: Financial literacy: Inflation by gender

Gender	N	Mean
Male	531	0.79
Female	742	0.75

Table 21: Financial literacy: Inflation by race/ethnicity

Race/ethnicity	N	Mean
White (NH)	729	0.82
Black (NH)	270	0.67
Hispanic	192	0.67
Other (NH)	81	0.77

Table 22: Financial literacy: Inflation by age

Age	N	Mean
25–29	2	0.50
30–34	2	0.00
40–44	7	0.57
45–49	13	0.54
50–54	50	0.74
55–59	249	0.74
60–64	256	0.79
65–69	250	0.78
70–74	154	0.81
75–79	123	0.85
80–84	120	0.68
85–89	46	0.76

Table 23: Financial literacy: Inflation by education

Education	N	Mean
no hs	211	0.67
hs	330	0.74
some college	340	0.75
4yr degree	200	0.83
grad	186	0.87

Table 24: Financial literacy: Literacy score by gender

Gender	N	Mean
Male	471	2.33
Female	568	2.25

Table 25: Financial literacy: Literacy score by race/ethnicity

Race/ethnicity	N	Mean
White (NH)	619	2.45
Black (NH)	209	2.03
Hispanic	138	2.01
Other (NH)	72	2.19

Table 26: Financial literacy: Literacy score by age

Age	N	Mean
25–29	2	1.00
30–34	2	1.50
40–44	6	2.00
45–49	12	1.75
50–54	41	2.49
55–59	207	2.20
60–64	217	2.34
65–69	212	2.33
70–74	130	2.39
75–79	92	2.38
80–84	80	2.08
85–89	37	2.30

Table 27: Financial literacy: Literacy score by education

Education	N	Mean
no hs	147	2.01
hs	267	2.01
some college	269	2.35
4yr degree	177	2.54
grad	173	2.60

Table 28 shows the cross correlations between the financial literacy measures and the general measure of trust. There is little correlation between trust and any of the financial literacy variables. More worrisome is that there is little correlation amongst the financial literacy variables. If they

are all measuring the same thing, there should be some correlation.

Table 28: Financial literacy and trust correlations

	Interest	Inflation	Risk diversification	General trust
Interest	1.00	-0.01	0.03	0.01
Inflation	-0.01	1.00	0.07	-0.03
Risk diversification	0.03	0.07	1.00	0.04
General trust	0.01	-0.03	0.04	1.00

Interest, inflation, risk diversification, and general trust (2020).

5.1.2 Results

Table 29: Cross section: r5 returns (5 percent wins) on financial literacy and trust

	(1)	(2)	(3)	(4)
Female	−0.11**	−0.12**	−0.11**	−0.12**
	(0.05)	(0.05)	(0.05)	(0.05)
Years education	0.02**	0.02**	0.02**	0.02*
	(0.01)	(0.01)	(0.01)	(0.01)
In labor force	0.12**	0.11**	0.12**	0.11**
	(0.05)	(0.05)	(0.05)	(0.05)
Married	0.06	0.06	0.06	0.06
	(0.05)	(0.05)	(0.06)	(0.06)
Born in U.S.	0.03	0.03	0.02	0.03
	(0.06)	(0.06)	(0.06)	(0.06)
NH Black	−0.19**	−0.19**	−0.18**	−0.18**
	(0.08)	(0.08)	(0.08)	(0.08)
Hispanic	−0.14	−0.14	−0.13	−0.14
	(0.09)	(0.09)	(0.09)	(0.09)
NH Other	0.06	0.07	0.07	0.07
	(0.11)	(0.11)	(0.11)	(0.11)
Interest	0.07		0.07	
	(0.07)		(0.07)	
Inflation	0.15**		0.16**	
	(0.06)		(0.06)	
Risk div	0.01		0.01	
	(0.06)		(0.06)	
Literacy score		0.07*		0.08**
		(0.04)		(0.04)
General trust			0.01	0.01
			(0.03)	(0.04)
(General trust)^2			0.00	−0.00
			(0.00)	(0.00)
_cons	−0.59***	−0.57***	−0.61***	−0.58***
	(0.23)	(0.22)	(0.23)	(0.22)
Observations	319.00	319.00	319.00	319.00
Adj. R-squared	0.25	0.25	0.25	0.25
Joint test: Trust p-value	.	.	0.69	0.80

Standard errors in parentheses
Robust SE. Age bins (5-yr) and wealth deciles omitted from table but included in regressions.
* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 30: Average r5 returns (5 percent wins) on financial literacy and trust

	(1)	(2)	(3)	(4)
Female	−0.04	−0.04	−0.05	−0.05*
	(0.03)	(0.03)	(0.03)	(0.03)
Years education	0.00	0.00	0.00	0.00
	(0.01)	(0.01)	(0.01)	(0.01)
In labor force	0.08**	0.08**	0.08**	0.07**
	(0.04)	(0.04)	(0.04)	(0.04)
Married	0.02	0.02	0.02	0.02
	(0.03)	(0.03)	(0.03)	(0.03)
Born in U.S.	−0.03	−0.03	−0.04	−0.04
	(0.04)	(0.04)	(0.04)	(0.04)
NH Black	−0.03	−0.03	−0.01	−0.01
	(0.05)	(0.05)	(0.05)	(0.05)
Hispanic	−0.09	−0.10*	−0.08	−0.09
	(0.06)	(0.06)	(0.06)	(0.06)
NH Other	0.02	0.02	0.03	0.03
	(0.07)	(0.07)	(0.07)	(0.07)
Interest	−0.00		0.00	
	(0.03)		(0.03)	
Inflation	0.08**		0.09**	
	(0.04)		(0.04)	
Risk div	−0.03		−0.03	
	(0.04)		(0.04)	
Literacy score		0.01		0.02
		(0.02)		(0.02)
General trust			0.03	0.03
			(0.02)	(0.02)
(General trust)^2			−0.00	−0.00
			(0.00)	(0.00)
_cons	0.11	0.11	0.09	0.09
	(0.12)	(0.12)	(0.12)	(0.12)
Observations	440.00	440.00	440.00	440.00
Adj. R-squared	0.04	0.03	0.05	0.04
Joint test: Trust p-value	.	.	0.04	0.07

Standard errors in parentheses
Robust SE. Age bins (5-yr) and wealth deciles omitted from table but included in regressions.
* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 31: Panel Spec 1 (pooled): r5 returns on financial literacy and trust

	(1)	(2)	(3)	(4)
Years education	−0.00	−0.00	−0.00	−0.00
	(0.00)	(0.00)	(0.00)	(0.00)
Female	−0.02	−0.03	−0.03	−0.03*
	(0.02)	(0.02)	(0.02)	(0.02)
NH Black	0.04	0.04	0.05	0.05
	(0.03)	(0.03)	(0.03)	(0.03)
Hispanic	0.01	0.01	0.02	0.01
	(0.04)	(0.04)	(0.04)	(0.04)
NH Other	0.02	0.02	0.04	0.03
	(0.04)	(0.04)	(0.04)	(0.04)
Employed	0.04**	0.04*	0.04*	0.03*
	(0.02)	(0.02)	(0.02)	(0.02)
Married	−0.07***	−0.07***	−0.07***	−0.07***
	(0.02)	(0.02)	(0.02)	(0.02)
Born in U.S.	0.01	0.01	0.01	0.01
	(0.03)	(0.03)	(0.03)	(0.03)
Interest	0.02		0.03	
	(0.02)		(0.02)	
Inflation	−0.00		0.00	
	(0.02)		(0.02)	
Risk div	−0.01		−0.01	
	(0.02)		(0.02)	
Literacy score		0.00		0.00
		(0.01)		(0.01)
General trust			0.02	0.01
			(0.01)	(0.01)
(General trust)^2			−0.00	−0.00
			(0.00)	(0.00)
_cons	−0.58***	−0.56***	−0.58***	−0.55***
	(0.06)	(0.06)	(0.06)	(0.06)
Observations	2134.00	2134.00	2134.00	2134.00
Adj. R-squared	0.02	0.02	0.02	0.02
Joint test: Trust p-value	.	.	0.07	0.09

Standard errors in parentheses

Cluster-robust SE. Age bins (5-yr), wealth deciles, and region dummies omitted from table but included in regressions.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 32: Panel Spec 2 (share x year): r5 returns on financial literacy and trust

	(1)	(2)	(3)	(4)
Years education	−0.01	−0.01	−0.01*	−0.01*
	(0.00)	(0.00)	(0.00)	(0.00)
Female	−0.02	−0.03	−0.03*	−0.03**
	(0.02)	(0.02)	(0.02)	(0.02)
NH Black	0.03	0.02	0.03	0.03
	(0.03)	(0.03)	(0.03)	(0.03)
Hispanic	−0.02	−0.03	−0.02	−0.02
	(0.04)	(0.04)	(0.04)	(0.04)
NH Other	0.04	0.03	0.05	0.05
	(0.05)	(0.05)	(0.04)	(0.05)
Employed	0.03*	0.03*	0.03*	0.03*
	(0.02)	(0.02)	(0.02)	(0.02)
Married	−0.07***	−0.07***	−0.07***	−0.07***
	(0.02)	(0.02)	(0.02)	(0.02)
Born in U.S.	0.01	0.01	0.01	0.01
	(0.03)	(0.03)	(0.03)	(0.03)
Interest	0.01		0.02	
	(0.02)		(0.02)	
Inflation	0.01		0.01	
	(0.02)		(0.02)	
Risk div	−0.01		−0.02	
	(0.02)		(0.02)	
Literacy score		0.00		0.00
		(0.01)		(0.01)
General trust			0.02	0.01
			(0.01)	(0.01)
(General trust)^2			−0.00	−0.00
			(0.00)	(0.00)
_cons	−0.71***	−0.70***	−0.71***	−0.69***
	(0.21)	(0.22)	(0.21)	(0.21)
Observations	2111.00	2111.00	2111.00	2111.00
Adj. R-squared	0.07	0.07	0.07	0.07
Joint test: Trust p-value	.	.	0.03	0.04

Standard errors in parentheses

Cluster-robust SE. Age bins (5-yr), wealth deciles, region dummies,

and share x year interactions omitted from table but included in regressions.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 33: Panel Spec 3 (FE, 2nd stage): r5 returns on financial literacy and trust

	(1)	(2)	(3)	(4)
Years education	0.03***	0.03***	0.03***	0.03***
	(0.00)	(0.00)	(0.00)	(0.00)
Female	−0.07***	−0.07***	−0.07***	−0.07***
	(0.03)	(0.03)	(0.03)	(0.03)
NH Black	−0.19***	−0.19***	−0.19***	−0.19***
	(0.03)	(0.03)	(0.03)	(0.03)
Hispanic	−0.14***	−0.14***	−0.14***	−0.14***
	(0.05)	(0.05)	(0.05)	(0.05)
NH Other	−0.06	−0.06	−0.05	−0.06
	(0.07)	(0.07)	(0.07)	(0.07)
Born in U.S.	−0.09**	−0.09**	−0.09**	−0.09**
	(0.04)	(0.04)	(0.04)	(0.04)
Interest	0.07**		0.07**	
	(0.03)		(0.03)	
Inflation	0.05		0.04	
	(0.04)		(0.03)	
Risk div	0.07**		0.07**	
	(0.03)		(0.03)	
Literacy score		0.06***		0.06***
		(0.02)		(0.02)
General trust			0.04**	0.03**
			(0.02)	(0.02)
(General trust)^2			−0.00**	−0.00**
			(0.00)	(0.00)
_cons	−0.31***	−0.31***	−0.36***	−0.36***
	(0.09)	(0.09)	(0.09)	(0.09)
Observations	417.00	417.00	417.00	417.00
Adj. R-squared	0.27	0.27	0.27	0.27
Joint test: Trust p-value	.	.	0.07	0.10

Standard errors in parentheses

Second-stage: FE from within regression on time-invariant + finlit. Robust SE.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

5.2 Trust in financial institutions

5.2.1 Composite trust score

Table 34: Financial-institutional trust: summary (2020)

Variable	N	Mean
Banks	990	5.35
Financial advisors	1080	4.29
Mutual funds	1072	4.29
Trust in Fin. Institutions	1234	4.78

Table 35: Cross section: r5 returns (5 percent wins) on financial-institutional trust

	(1)	(2)	(3)
Female	-0.08^{**}	-0.08^{**}	-0.08^{**}
	(0.03)	(0.03)	(0.03)
Years education	0.02^{***}	0.02^{***}	0.02^{***}
	(0.01)	(0.01)	(0.01)
In labor force	0.09^{**}	0.09^{**}	0.09^{**}
	(0.04)	(0.04)	(0.04)
Married	0.06	0.06	0.06
	(0.04)	(0.04)	(0.04)
Born in U.S.	0.01	0.01	0.01
	(0.05)	(0.05)	(0.05)
NH Black	-0.14^{**}	-0.14^{***}	-0.14^{***}
	(0.05)	(0.05)	(0.05)
Hispanic	-0.13^{**}	-0.13^{**}	-0.12^{*}
	(0.06)	(0.06)	(0.06)
NH Other	0.07	0.07	0.07
	(0.10)	(0.10)	(0.10)
Fin. Institutions		0.00	−0.01
		(0.01)	(0.03)
(Fin. Institutions)^2			0.00
			(0.00)
_cons	-0.34^{**}	-0.34^{*}	-0.33^{*}
	(0.17)	(0.17)	(0.18)
Observations	585.00	585.00	585.00
Adj. R-squared	0.25	0.25	0.25
Joint test: Trust p-value	.	.	0.94

Standard errors in parentheses

Robust SE. Age bins (5-yr) and wealth deciles omitted from table but included in regressions.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 36: Average r5 returns (5 percent wins) on financial-institutional trust

	(1)	(2)	(3)
Female	−0.02	−0.02	−0.02
	(0.02)	(0.02)	(0.02)
Years education	0.01**	0.01**	0.01**
	(0.00)	(0.00)	(0.00)
In labor force	0.10***	0.10***	0.10***
	(0.03)	(0.03)	(0.03)
Married	0.02	0.02	0.01
	(0.02)	(0.02)	(0.02)
Born in U.S.	−0.02	−0.02	−0.02
	(0.03)	(0.03)	(0.03)
NH Black	0.01	0.01	0.01
	(0.03)	(0.03)	(0.03)
Hispanic	−0.03	−0.03	−0.03
	(0.04)	(0.04)	(0.04)
NH Other	0.02	0.02	0.02
	(0.06)	(0.06)	(0.06)
Fin. Institutions		−0.00	0.01
		(0.00)	(0.01)
(Fin. Institutions)^2			−0.00
			(0.00)
_cons	0.00	0.01	−0.00
	(0.08)	(0.08)	(0.08)
Observations	833.00	833.00	833.00
Adj. R-squared	0.07	0.07	0.07
Joint test: Trust p-value	.	.	0.20

Standard errors in parentheses

Robust SE. Age bins (5-yr) and wealth deciles omitted from table but included in regressions.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 37: Panel Spec 1 (pooled): r5 returns on financial-institutional trust

	(1)	(2)	(3)
Years education	−0.00	−0.00	−0.00
	(0.00)	(0.00)	(0.00)
Female	−0.01	−0.01	−0.01
	(0.01)	(0.01)	(0.01)
NH Black	0.07***	0.07***	0.07***
	(0.02)	(0.02)	(0.02)
Hispanic	0.06**	0.05**	0.05**
	(0.03)	(0.03)	(0.03)
NH Other	0.03	0.03	0.03
	(0.03)	(0.03)	(0.03)
Employed	0.03**	0.03**	0.03**
	(0.01)	(0.01)	(0.01)
Married	−0.06***	−0.06***	−0.06***
	(0.01)	(0.01)	(0.01)
Born in U.S.	0.01	0.01	0.01
	(0.02)	(0.02)	(0.02)
Fin. Institutions		−0.01**	0.00
		(0.00)	(0.01)
(Fin. Institutions)^2			−0.00
			(0.00)
_cons	−0.55***	−0.54***	−0.55***
	(0.04)	(0.04)	(0.04)
Observations	4219.00	4219.00	4219.00
Adj. R-squared	0.02	0.02	0.02
Joint test: Trust p-value	.	.	0.06

Standard errors in parentheses

Cluster-robust SE. Age bins (5-yr), wealth deciles, and region dummies omitted from table but included in regressions.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 38: Panel Spec 2 (share x year): r5 returns on financial-institutional trust

	(1)	(2)	(3)
Years education	-0.01^{**}	-0.01^{**}	-0.01^{**}
	(0.00)	(0.00)	(0.00)
Female	-0.01	-0.01	-0.01
	(0.01)	(0.01)	(0.01)
NH Black	0.04^{**}	0.04^{*}	0.04^{*}
	(0.02)	(0.02)	(0.02)
Hispanic	0.02	0.02	0.02
	(0.03)	(0.03)	(0.03)
NH Other	0.03	0.03	0.03
	(0.03)	(0.03)	(0.03)
Employed	0.03^{**}	0.03^{**}	0.03^{**}
	(0.01)	(0.01)	(0.01)
Married	-0.05^{***}	-0.05^{***}	-0.05^{***}
	(0.01)	(0.01)	(0.01)
Born in U.S.	0.01	0.01	0.01
	(0.02)	(0.02)	(0.02)
Fin. Institutions		-0.01^{**}	-0.00
		(0.00)	(0.01)
(Fin. Institutions)^2			-0.00
			(0.00)
_cons	-0.56^{***}	-0.55^{***}	-0.56^{***}
	(0.20)	(0.20)	(0.20)
Observations	4219.00	4219.00	4219.00
Adj. R-squared	0.07	0.07	0.07
Joint test: Trust p-value	.	.	0.06

Standard errors in parentheses

Cluster-robust SE. Age bins (5-yr), wealth deciles, region dummies,

and share x year interactions omitted from table but included in regressions.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 39: Panel Spec 3 (FE, 2nd stage): r5 returns on financial-institutional trust

	(1)	(2)	(3)
Years education	0.03***	0.03***	0.03***
	(0.00)	(0.00)	(0.00)
Female	−0.05**	−0.05***	−0.05**
	(0.02)	(0.02)	(0.02)
NH Black	−0.22***	−0.20***	−0.19***
	(0.03)	(0.03)	(0.03)
Hispanic	−0.17***	−0.15***	−0.16***
	(0.03)	(0.03)	(0.03)
NH Other	−0.06	−0.04	−0.04
	(0.06)	(0.06)	(0.06)
Born in U.S.	−0.06	−0.06	−0.06
	(0.04)	(0.04)	(0.04)
Fin. Institutions		0.02***	0.06***
		(0.00)	(0.02)
(Fin. Institutions)^2			−0.00***
			(0.00)
_cons	−0.21***	−0.31***	−0.36***
	(0.06)	(0.06)	(0.07)
Observations	795.00	795.00	795.00
Adj. R-squared	0.23	0.26	0.26
Joint test: Trust p-value	.	.	0.00

Standard errors in parentheses

Second-stage: FE from within regression on time-invariant + trust. Robust SE.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

5.2.2 Principal component analysis

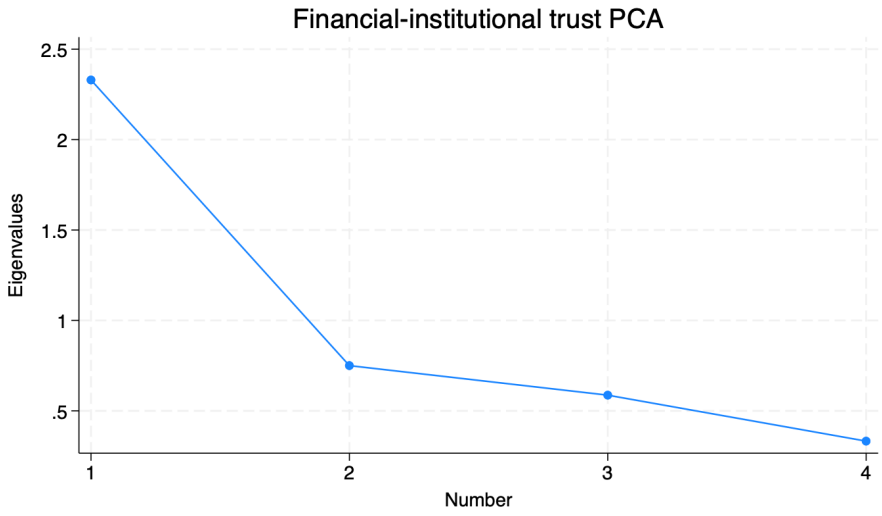

Figure 52: Financial-institutional trust PCA: scree plot

Table 40: Financial-institutional trust PCA: loadings by variable (4 vars: general, banks, advisors, mutual funds)

Variable	PC1	PC2
General trust	0.407	0.879
Banks	0.501	0.012
Financial advisors	0.557	-0.334
Mutual funds	0.523	-0.340

Table 41: Cross section: r5 returns (5 percent wins) on financial-institutional trust

	(1)	(2)	(3)
Female	-0.12^{**}	-0.13^{**}	-0.13^{**}
	(0.05)	(0.05)	(0.05)
Years education	0.02^{**}	0.02^{**}	0.02^{**}
	(0.01)	(0.01)	(0.01)
In labor force	0.11^{*}	0.11^{*}	0.11^{*}
	(0.06)	(0.06)	(0.06)
Married	0.10	0.10	0.10
	(0.06)	(0.06)	(0.06)
Born in U.S.	0.06	0.07	0.07
	(0.07)	(0.07)	(0.07)
NH Black	-0.14^{*}	-0.14^{*}	-0.14^{*}
	(0.08)	(0.08)	(0.08)
Hispanic	−0.13	−0.13	−0.13
	(0.11)	(0.11)	(0.11)
NH Other	−0.01	0.00	0.00
	(0.13)	(0.13)	(0.13)
Fin. Inst. PC1		0.01	0.01
		(0.02)	(0.02)
(Fin. Inst. PC1)^2			0.00
			(0.01)
_cons	-0.40^{*}	−0.36	−0.38
	(0.24)	(0.24)	(0.23)
Observations	271.00	271.00	271.00
Adj. R-squared	0.28	0.28	0.28
Joint test: Trust p-value	.	.	0.70

Standard errors in parentheses

Robust SE. Age bins (5-yr) and wealth deciles omitted from table but included in regressions.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 42: Average r5 returns (5 percent wins) on financial-institutional trust

	(1)	(2)	(3)
Female	−0.05	−0.05	−0.05
	(0.03)	(0.03)	(0.03)
Years education	0.01	0.01	0.01
	(0.01)	(0.01)	(0.01)
In labor force	0.11***	0.11***	0.10**
	(0.04)	(0.04)	(0.04)
Married	−0.02	−0.02	−0.03
	(0.04)	(0.04)	(0.04)
Born in U.S.	0.01	0.01	0.01
	(0.05)	(0.05)	(0.05)
NH Black	0.00	0.00	0.01
	(0.05)	(0.05)	(0.05)
Hispanic	−0.02	−0.02	−0.02
	(0.06)	(0.06)	(0.06)
NH Other	0.02	0.02	0.02
	(0.09)	(0.09)	(0.09)
Fin. Inst. PC1		−0.00	0.00
		(0.01)	(0.01)
(Fin. Inst. PC1)^2			−0.01**
			(0.01)
_cons	0.04	0.04	0.12
	(0.12)	(0.12)	(0.12)
Observations	411.00	411.00	411.00
Adj. R-squared	0.05	0.05	0.06
Joint test: Trust p-value	.	.	0.09

Standard errors in parentheses

Robust SE. Age bins (5-yr) and wealth deciles omitted from table but included in regressions.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 43: Panel Spec 1 (pooled): r5 returns on financial-institutional trust

	(1)	(2)	(3)
Years education	−0.00	−0.00	−0.00
	(0.00)	(0.00)	(0.00)
Female	−0.02	−0.02	−0.02
	(0.02)	(0.02)	(0.02)
NH Black	0.04	0.04	0.04
	(0.03)	(0.03)	(0.03)
Hispanic	0.03	0.03	0.03
	(0.04)	(0.04)	(0.04)
NH Other	−0.03	−0.03	−0.03
	(0.04)	(0.04)	(0.04)
Employed	0.03	0.03	0.03
	(0.02)	(0.02)	(0.02)
Married	−0.07***	−0.07***	−0.07***
	(0.02)	(0.02)	(0.02)
Born in U.S.	0.03	0.03	0.03
	(0.03)	(0.03)	(0.03)
Fin. Inst. PC1		−0.01	−0.00
		(0.01)	(0.01)
(Fin. Inst. PC1)^2			−0.00
			(0.00)
_cons	−0.58***	−0.59***	−0.56***
	(0.06)	(0.06)	(0.07)
Observations	1864.00	1864.00	1864.00
Adj. R-squared	0.02	0.02	0.02
Joint test: Trust p-value	.	.	0.19

Standard errors in parentheses

Cluster-robust SE. Age bins (5-yr), wealth deciles, and region dummies omitted from table but included in regressions.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 44: Panel Spec 2 (share x year): r5 returns on financial-institutional trust

	(1)	(2)	(3)
Years education	-0.01^{*}	-0.01	-0.01^{*}
	(0.00)	(0.00)	(0.00)
Female	-0.02	-0.02	-0.02
	(0.02)	(0.02)	(0.02)
NH Black	0.02	0.02	0.02
	(0.03)	(0.03)	(0.03)
Hispanic	-0.01	-0.01	-0.01
	(0.04)	(0.04)	(0.04)
NH Other	-0.01	-0.01	-0.01
	(0.04)	(0.04)	(0.04)
Employed	0.03	0.03	0.03
	(0.02)	(0.02)	(0.02)
Married	-0.06^{**}	-0.06^{**}	-0.06^{**}
	(0.02)	(0.02)	(0.02)
Born in U.S.	0.03	0.03	0.03
	(0.03)	(0.03)	(0.03)
Fin. Inst. PC1		-0.01	-0.00
		(0.01)	(0.01)
(Fin. Inst. PC1)^2			-0.00
			(0.00)
_cons	-0.48^{*}	-0.50^{*}	-0.47^{*}
	(0.27)	(0.27)	(0.27)
Observations	1864.00	1864.00	1864.00
Adj. R-squared	0.06	0.06	0.06
Joint test: Trust p-value	.	.	0.23

Standard errors in parentheses

Cluster-robust SE. Age bins (5-yr), wealth deciles, region dummies,

and share x year interactions omitted from table but included in regressions.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 45: Panel Spec 3 (FE, 2nd stage): r5 returns on financial-institutional trust

	(1)	(2)	(3)
Years education	0.02***	0.02***	0.02***
	(0.00)	(0.00)	(0.00)
Female	−0.04	−0.06**	−0.06*
	(0.03)	(0.03)	(0.03)
NH Black	−0.24***	−0.22***	−0.21***
	(0.04)	(0.04)	(0.04)
Hispanic	−0.19***	−0.18***	−0.19***
	(0.05)	(0.05)	(0.05)
NH Other	−0.07	−0.05	−0.05
	(0.07)	(0.07)	(0.08)
Born in U.S.	−0.07	−0.07	−0.08
	(0.06)	(0.06)	(0.06)
Fin. Inst. PC1		0.04***	0.05***
		(0.01)	(0.01)
(Fin. Inst. PC1)^2			−0.01**
			(0.00)
_cons	−0.03	−0.01	0.03
	(0.07)	(0.07)	(0.07)
Observations	384.00	384.00	384.00
Adj. R-squared	0.17	0.20	0.21
Joint test: Trust p-value	.	.	0.00

Standard errors in parentheses

Second-stage: FE from within regression on time-invariant + trust. Robust SE.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 46: Cross section: r5 returns (5 percent wins) on financial-institutional trust

	(1)	(2)	(3)
Female	-0.12^{**}	-0.12^{**}	-0.12^{**}
	(0.05)	(0.05)	(0.05)
Years education	0.02^{**}	0.02^{**}	0.02^{**}
	(0.01)	(0.01)	(0.01)
In labor force	0.11^{*}	0.11^{*}	0.11^{*}
	(0.06)	(0.06)	(0.06)
Married	0.10	0.10	0.10
	(0.06)	(0.06)	(0.06)
Born in U.S.	0.06	0.06	0.06
	(0.07)	(0.07)	(0.07)
NH Black	-0.14^{*}	-0.14^{*}	-0.14^{*}
	(0.08)	(0.08)	(0.08)
Hispanic	−0.13	−0.13	−0.14
	(0.11)	(0.11)	(0.11)
NH Other	−0.01	−0.01	−0.01
	(0.13)	(0.13)	(0.13)
Fin. Inst. PC2		0.01	0.01
		(0.03)	(0.03)
(Fin. Inst. PC2)^2			0.01
			(0.02)
_cons	-0.40^{*}	−0.39	-0.41^{*}
	(0.24)	(0.24)	(0.25)
Observations	271.00	271.00	271.00
Adj. R-squared	0.28	0.28	0.28
Joint test: Trust p-value	.	.	0.84

Standard errors in parentheses

Robust SE. Age bins (5-yr) and wealth deciles omitted from table but included in regressions.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 47: Average r5 returns (5 percent wins) on financial-institutional trust

	(1)	(2)	(3)
Female	−0.05	−0.05	−0.05
	(0.03)	(0.03)	(0.03)
Years education	0.01	0.01	0.01
	(0.01)	(0.01)	(0.01)
In labor force	0.11***	0.11***	0.11***
	(0.04)	(0.04)	(0.04)
Married	−0.02	−0.02	−0.02
	(0.04)	(0.04)	(0.04)
Born in U.S.	0.01	−0.00	−0.00
	(0.05)	(0.05)	(0.05)
NH Black	0.00	0.01	0.01
	(0.05)	(0.05)	(0.05)
Hispanic	−0.02	−0.01	−0.01
	(0.06)	(0.06)	(0.06)
NH Other	0.02	0.02	0.02
	(0.09)	(0.09)	(0.09)
Fin. Inst. PC2		0.05***	0.05***
		(0.02)	(0.02)
(Fin. Inst. PC2)^2			0.00
			(0.01)
_cons	0.04	0.10	0.09
	(0.12)	(0.12)	(0.12)
Observations	411.00	411.00	411.00
Adj. R-squared	0.05	0.07	0.07
Joint test: Trust p-value	.	.	0.02

Standard errors in parentheses

Robust SE. Age bins (5-yr) and wealth deciles omitted from table but included in regressions.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 48: Panel Spec 1 (pooled): r5 returns on financial-institutional trust

	(1)	(2)	(3)
Years education	−0.00	−0.00	−0.00
	(0.00)	(0.00)	(0.00)
Female	−0.02	−0.02	−0.02
	(0.02)	(0.02)	(0.02)
NH Black	0.04	0.05*	0.05*
	(0.03)	(0.03)	(0.03)
Hispanic	0.03	0.03	0.03
	(0.04)	(0.04)	(0.04)
NH Other	−0.03	−0.02	−0.02
	(0.04)	(0.04)	(0.04)
Employed	0.03	0.03	0.03
	(0.02)	(0.02)	(0.02)
Married	−0.07***	−0.07***	−0.07***
	(0.02)	(0.02)	(0.02)
Born in U.S.	0.03	0.02	0.02
	(0.03)	(0.03)	(0.03)
Fin. Inst. PC2		0.03***	0.03***
		(0.01)	(0.01)
(Fin. Inst. PC2)^2			−0.00
			(0.01)
_cons	−0.58***	−0.54***	−0.54***
	(0.06)	(0.06)	(0.06)
Observations	1864.00	1864.00	1864.00
Adj. R-squared	0.02	0.02	0.02
Joint test: Trust p-value	.	.	0.02

Standard errors in parentheses

Cluster-robust SE. Age bins (5-yr), wealth deciles, and region dummies omitted from table but included in regressions.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 49: Panel Spec 2 (share x year): r5 returns on financial-institutional trust

	(1)	(2)	(3)
Years education	-0.01^{*}	-0.01	-0.01
	(0.00)	(0.00)	(0.00)
Female	-0.02	-0.02	-0.02
	(0.02)	(0.02)	(0.02)
NH Black	0.02	0.03	0.03
	(0.03)	(0.03)	(0.03)
Hispanic	-0.01	-0.01	-0.01
	(0.04)	(0.04)	(0.04)
NH Other	-0.01	-0.00	-0.01
	(0.04)	(0.04)	(0.04)
Employed	0.03	0.03	0.03
	(0.02)	(0.02)	(0.02)
Married	-0.06^{**}	-0.06^{**}	-0.06^{**}
	(0.02)	(0.02)	(0.02)
Born in U.S.	0.03	0.02	0.02
	(0.03)	(0.03)	(0.03)
Fin. Inst. PC2		0.02^{**}	0.02^{**}
		(0.01)	(0.01)
(Fin. Inst. PC2)^2			0.00
			(0.01)
_cons	-0.48^{*}	-0.45^{*}	-0.45^{*}
	(0.27)	(0.27)	(0.27)
Observations	1864.00	1864.00	1864.00
Adj. R-squared	0.06	0.06	0.06
Joint test: Trust p-value	.	.	0.06

Standard errors in parentheses

Cluster-robust SE. Age bins (5-yr), wealth deciles, region dummies,

and share x year interactions omitted from table but included in regressions.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

Table 50: Panel Spec 3 (FE, 2nd stage): r5 returns on financial-institutional trust

	(1)	(2)	(3)
Years education	0.02***	0.02***	0.02***
	(0.00)	(0.00)	(0.00)
Female	−0.04	−0.05	−0.05
	(0.03)	(0.03)	(0.03)
NH Black	−0.24***	−0.26***	−0.25***
	(0.04)	(0.04)	(0.04)
Hispanic	−0.19***	−0.19***	−0.19***
	(0.05)	(0.05)	(0.05)
NH Other	−0.07	−0.08	−0.07
	(0.07)	(0.07)	(0.07)
Born in U.S.	−0.07	−0.05	−0.04
	(0.06)	(0.06)	(0.06)
Fin. Inst. PC2		−0.07***	−0.06***
		(0.02)	(0.02)
(Fin. Inst. PC2)^2			−0.02*
			(0.01)
_cons	−0.03	−0.04	−0.00
	(0.07)	(0.07)	(0.07)
Observations	384.00	384.00	384.00
Adj. R-squared	0.17	0.20	0.20
Joint test: Trust p-value	.	.	0.00

Standard errors in parentheses

Second-stage: FE from within regression on time-invariant + trust. Robust SE.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

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